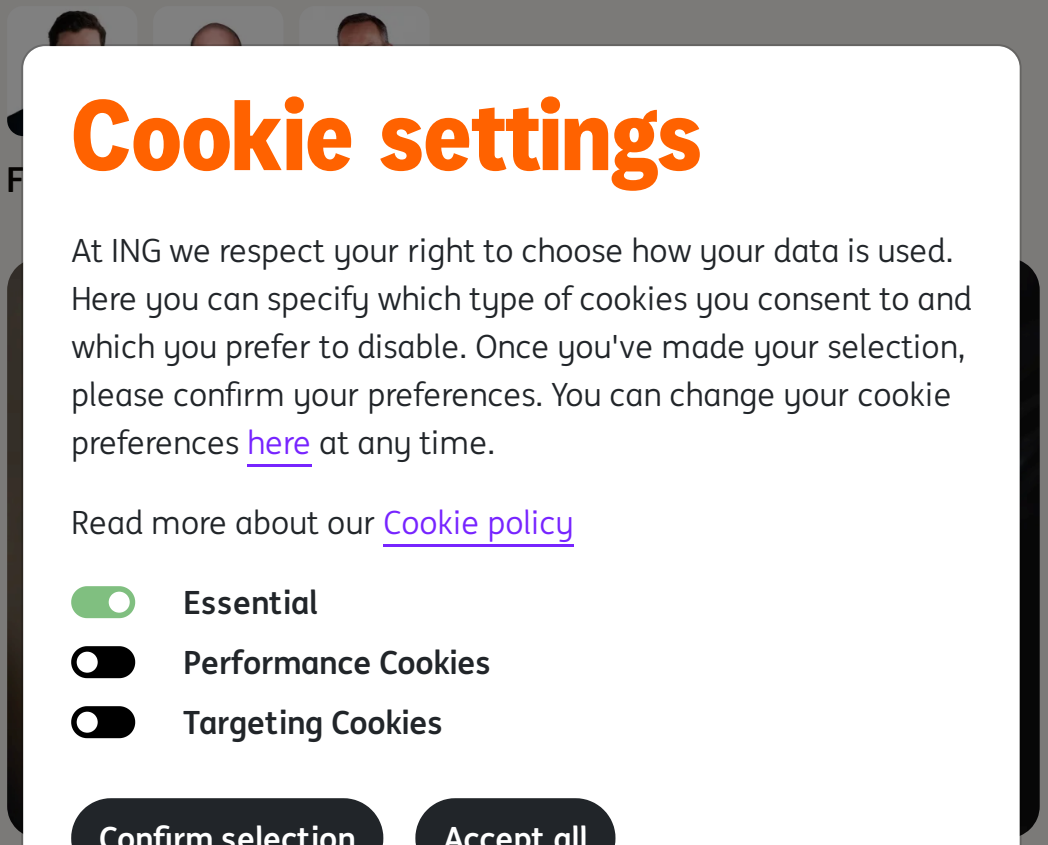
Contagion from AI to defensive stocks in the US and worldwide allowed the dollar to rally even before the strong US jobs market report. But unless risk sentiment remains poor this week, lower front-end US rates should favour a weaker dollar, even if inflation tomorrow comes in slightly hotter than expected



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USD: At risk of correction

The dollar has emerged stronger after markets digested last Thursday's big tech-led equity selloff. The greenback was already gaining ground across the board even before US payrolls (165k) smashed expectations on Friday afternoon. The dollar's appreciation was probably driven, albeit with some delay, by the extent of the contagion into defensive stocks and global markets.

Still, the pass-through from the equity shake-off to FX volatility has been rather contained, and broadly concentrated in higher-beta

G10 currencies. The Australian dollar, Swedish krona and Norwegian krone have dropped around as much as the heavily AI-exposed Korean won since last Wednesday's close.

Scrutiny of the AI trade will inevitably remain very elevated this week. Markets are still assessing the actual implications of the Democratic sweep of Congress for regulatory risks around the AI-capex cycle, and whether this is effectively the start of a bigger downturn for tech stocks.

We think the dollar rally requires the risk-off mood to persist this week. Otherwise, there is some moderate correction risk, as Friday's

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has six weeks to form a coalition, and failure to do so is likely to result in Netanyahu receiving the mandate again.

Francesco Pesole

EUR: Cheap, focus on ECB succession

The drop in EUR/USD looks too sharp relative to its short-term rate differential. We estimate short-term undervaluation at around 2.1-2.3%, exceeding what has been justified by the French risk premium. That's mostly because front-end rate differentials have actually tightened on the back of the stock market turmoil,

compensating for worsening risk sentiment. Unless risk sentiment faces new instability this week, we expect EUR/USD to make its way back above 1.120.

The eurozone data calendar is quite quiet this week, but focus on the European Central Bank's succession story will increase. Today's Eurogroup meeting will discuss the candidacies of Spain's Pablo Hernández de Cos and the Netherlands' Klaas Knot, the only two officially running for the role – although last-minute contenders might still emerge. Knot is a hawk and de Cos is a dove, so there should be some reaction accordingly in the euro depending on who ends up taking the role.

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(EUR/GBP has been one of the favourite channels), but even accounting for that, the decline in the pair looks a bit too stretched.

Today, we'll hear from Bank of England Governor Andrew Bailey following last week's hawkish hike. The lack of dovish dissenters in November reinforced our view that the BoE will hike again in February, with some risk already in December. However, as we note here, consensus around another rate increase will likely be harder to achieve next time, as some members are considering a one-and-done approach as a possibility.

Most importantly, Bailey himself has signalled caution in hiking more than once again. Market pricing for three more cuts remains far too aggressive in our view, and argues – alongside short-term valuation signals – against further sterling strength against the euro. A return to 0.840 in EUR/GBP remains the most realistic move in the coming weeks, in our view.

Francesco Pesole

CEE: Rate hike outpricing leaves region exposed to risk-off mood

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unchanged at 6.50%. In Turkey, the Central Bank of Turkey will publish an inflation report following the rate cut implemented two weeks ago.

On Friday, Romania and Poland will release flash Q3 GDP data. We anticipate an acceleration in economic growth for the former and a slowdown for the latter. The CNB will release the minutes from last week's meeting, when it hiked rates for the second time since the onset of the US-Iran conflict, while Turkey will release its inflation expectations for November.

Regional markets have seen a sharp downward shift in rates, driven by the global sell-off and several surprises from central banks. Following the CNB's rate hike and the subsequent market rally, market pricing now implies roughly one and a half rate hikes for the Czech Republic. In Poland, the market has priced in just under three rate hikes; in Hungary, it anticipates approximately one rate cut. In our models, narrower rate differentials and a stronger US dollar point to weaker CEE currencies once again, leaving us generally bearish.

In the short term, however, the recent decline in energy prices and discussions regarding a diplomatic solution to the US-Iran conflict

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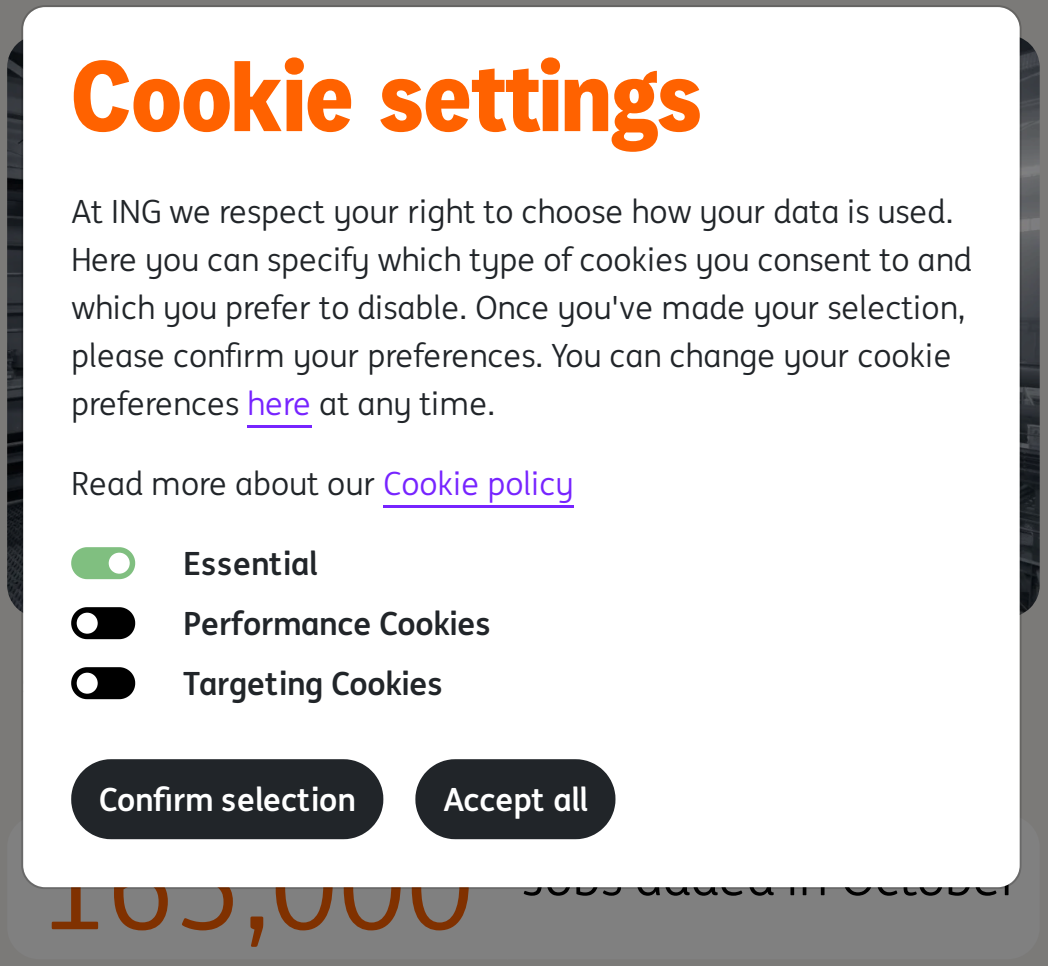
The Federal Reserve has been focusing more on inflation recently, but a strong jobs report for October makes a December rate hike an even easier decision

James Knightley



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Jobs up, unemployment down, wages growth holding up

The October US jobs report looks very decent. Non-farm payrolls rose 165k versus the 75k consensus forecast and there were 84k of upward revisions to the past two months' data. The unemployment rate dropped to 4.1% from 4.2% and wage growth rose 0.4%MoM/3.1%YoY versus the consensus prediction of 0.3%/2.9%.

That certainly helps the case for a December Federal Reserve interest rate hike, expectations for which had slipped in recent days to make it close to a 50:50 call at one point. We are now back to 20bp priced for the December FOMC meeting, and we fully expect the Fed to deliver at that meeting.

The details show that, yet again, it is private education and healthcare services leading the gains (+53k), but manufacturing is showing real life with a 19k increase as it becomes increasingly competitive to produce certain products in the US. Secure and relatively low-priced energy, a strong economy, huge tech investment spending and, at the margin, tariffs, have all boosted t
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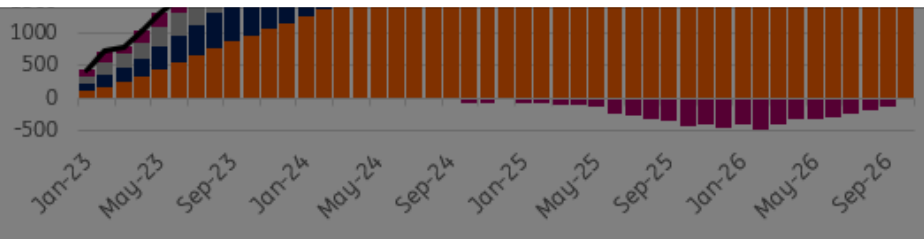

Souerce; Macrobond, ING

Fed set to hike in December, followed by a long pause

The Federal Reserve is focusing more on the inflation aspect of its mandate right now, but a stronger jobs story remains important for the rate hike narrative. While we do expect a December rate rise, we continue to doubt the need for additional hikes next year. The market has moved in that direction in recent days so that it no longer fully prices additional hikes in 2027, presumably because of the big drop in energy prices and diminished fears of second-round price effects. Next week's CPI report is expected to show core CPI rising by 0.2% month-on-month, which should support that story.

US Unemplyoment Jobs

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Both industry and retail sales expanded in September. Positive surprises appeared in both sets of data. As Hungary's growth is expected to be supported by internal factors, the external influence remains the only question mark in the recovery story

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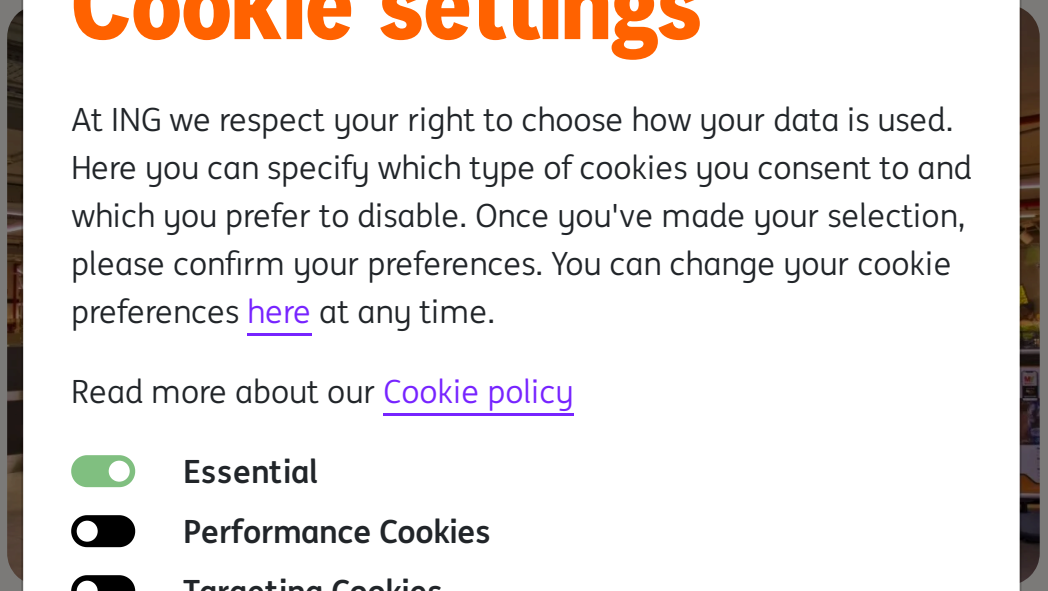

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September data on retail sales and industrial production. As we move closer to the end of the year, it is becoming increasingly clear that both sectors are set to contribute positively to economic growth, in line with our expectations. Industrial production maintained its recent growth momentum, reaching a level not seen in two and a half years. Retail sales also rebounded after August's negative surprise, despite elevated fuel prices. Strong consumer confidence and rising real disposable incomes are expected to keep consumption on an upward trend in the coming months.

New capacities are pulling up Hungarian industrial production

8.2% Industrial production (YoY, wda)

ING estimate: 5.7% / Previous: 8.8%

Hungarian industrial performance delivered a significant positive s
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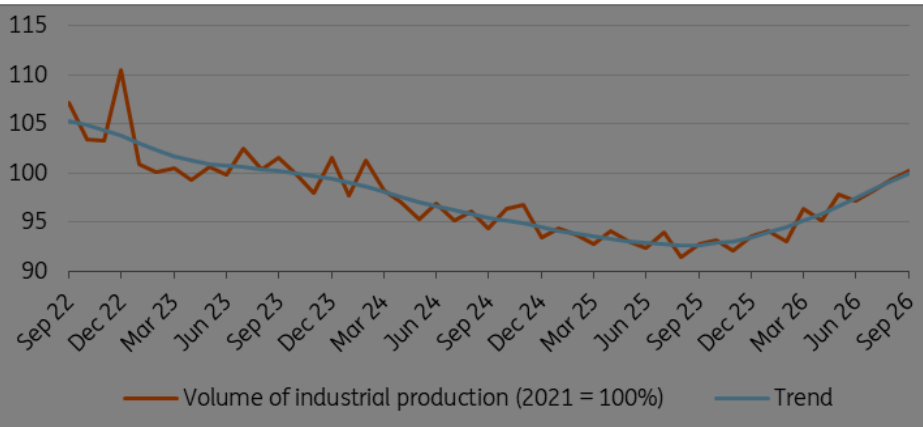

Source: HCSO, ING

As this is a preliminary data release, HCSO has not yet disclosed many details. Based on its brief commentary, the now-familiar pattern of concentrated growth remains in place. With new automotive production capacities coming online, vehicle manufacturing performed exceptionally well, as did the manufacture of computers, electronic and optical products, supported by rising electronics orders linked to the AI boom. It is also a positive development that electrical equipment manufacturing, which carries significant weight, has joined the group of positive contributors. By contrast, the HCSO recorded a decline in the manufacture of food products, beverages and

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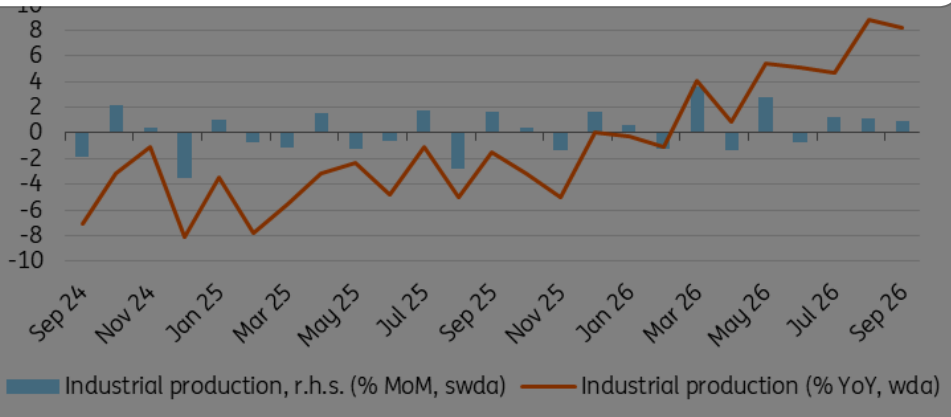

Source: HCSO, ING

Turning to the risks: On the upside, the better-than-expected resilience of the European economy, particularly the recovery in German industry, could translate into stronger external demand than currently anticipated. On the downside, oil prices around $100 per barrel, elevated gas prices and supply-chain disruptions stemming from geopolitical flare-ups in the Strait of Hormuz and the Red Sea remain key risks.

In the first nine months of the year, industrial output has already increased by 4.0%, suggesting that ING Bank's full-year forecast of around 3-4% may need an upward revision. The positive surprise could also lay the foundations for stable growth in the coming y
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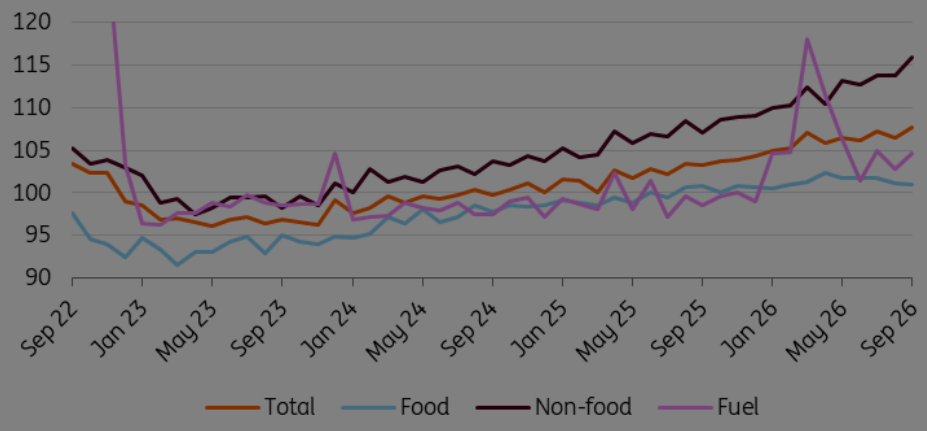
with the previous month, pushing the calendar-adjusted year-on-year growth rate sharply higher to 4.3%. Some correction had been expected following the weak performance of the previous month, but its magnitude surpassed even the most optimistic expectations.

Retail sales volume in detail (2021 = 100%)



Source: HCSO, ING

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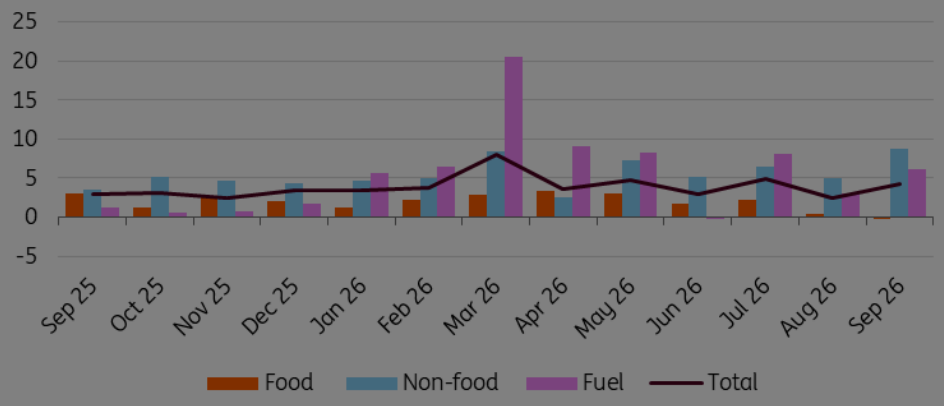
month. While in-store sales posted meaningful growth across almost every segment, mail-order and online retail performed more modestly this time. For now, it is difficult to identify a clear fundamental explanation for the broad-based strengthening in September. It may therefore partly reflect a correction following August's weakness, potentially combined with some purchases that had been postponed during the unusually hot summer months.

Breakdown of retail sales (% YoY, wda)



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Retail sales | Manufacturing | Industry | Hungary | Consumption

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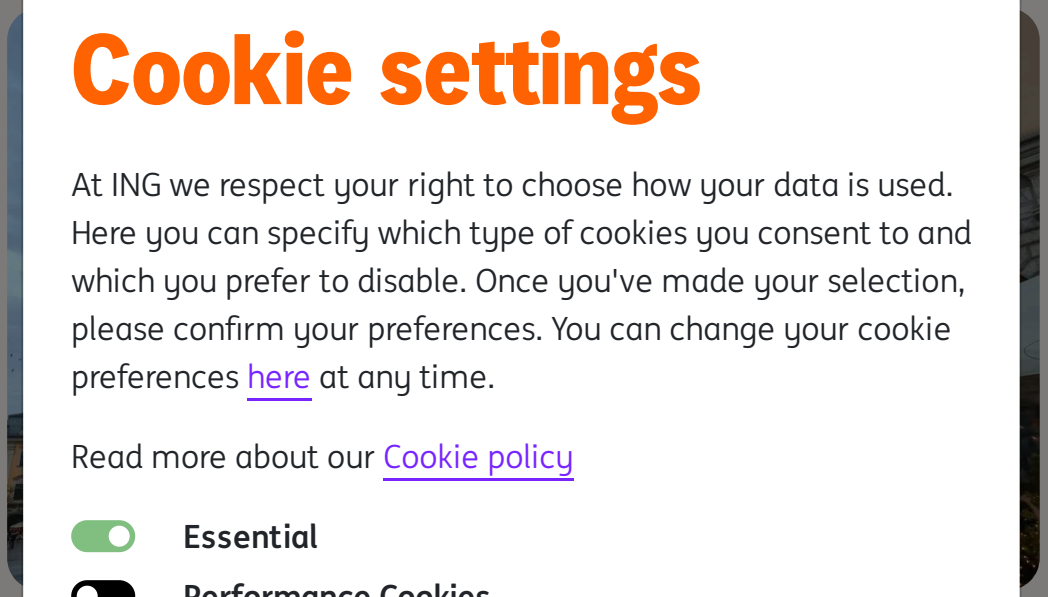
Poland will release third-quarter GDP, final inflation and current account data next week, while Hungary publishes September inflation figures

Adam Antoniak and Peter Virovacz



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Friday brings the release of the 3Q26 GDP flash estimate, final October CPI and September current account data. According to our estimates, GDP growth moderated to 3.4% YoY from 4.1% YoY in 2Q26. Although the GDP breakdown will not be published until the end of the month, we forecast that the slowdown in economic growth reflected softer consumption, as higher fuel prices bit into households' spending power. We also expect a negative contribution from net exports, compared with a positive contribution in 2Q26. Investment activity most likely remained buoyant.

The final October CPI reading should confirm that headline inflation stood at the upper bound of the range around the central bank's 2.5% target (+/- 1 percentage point). More important than the headline figure, however, is the composition of price growth. We estimate that core inflation excluding food and energy prices moderated to below 3% YoY for the first time since March this year. This supports the National Bank of Poland's patient approach to adjusting monetary policy.

The current account deficit probably widened to 1.5% of GDP on a 12-month rolling basis after September, from 1.4% of GDP after August. We forecast a September deficit of €2380mn, compared

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Services inflation is likely to remain muted on a monthly basis, providing some comfort for monetary policy, while core inflation should remain broadly stable at around 2% year-on-year. Against this backdrop, the interest rate outlook remains driven primarily by geopolitics rather than domestic factors.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
		Monday 9 November		
Czech Rep	0900	Oct Unemployment Rate	-	5
		Tuesday 10 November		
Turkey	0700	Sep Industrial Output (MoM%/YoY%)	-/-	-1.9/1
Czech Rep	0800	Oct CPI (MoM%/YoY%)	0.4/2.4	0/2.5
Hungary	0730	Oct Core CPI (YoY%)	2.1	1.9
	0730	Oct CPI (MoM%/YoY%)	0.4/2.0	0.2/1.6
Ukraine	0000	Oct CPI (MoM%/YoY%)	-/-	2.1/10
		Wednesday 11 November		
Russia	1300	Sep Trade Balance (USD bn)	-	11.7
Turkey	0700	Sep Retail Sales (MoM%/YoY%)	-/-	1.4/10.1
		Thursday 12 November		
Turkey	0730	Inflation Report 2026 - IV	-	-
	1130	FX Reserves (USD bn)	-	59
Romania	0600	Oct CPI (MoM%/YoY%)	0.8/6.9	0.8/6.6
	1300	Rate Decision	6.5	6.5
Serbia	1100	Oct CPI (MoM%/YoY%)	0.5/4.1	0.2/4.1
	1100	Rate Decision	5.75	5.75
		Friday 13 November		
Russia	1600	Oct CPI (MoM%/YoY%)	1.3/7.2	0.3/6.3
Turkey	0700	Sep Current Account Balance (USD bn)	-	4.1
Poland	0830	Oct CPI Final (MoM%/YoY%)	-0.4/3.5	-0.4/3.5
	0830	Q3 GDP Flash (QoQ%/YoY%)	0.7/3.4	1.1/3.9

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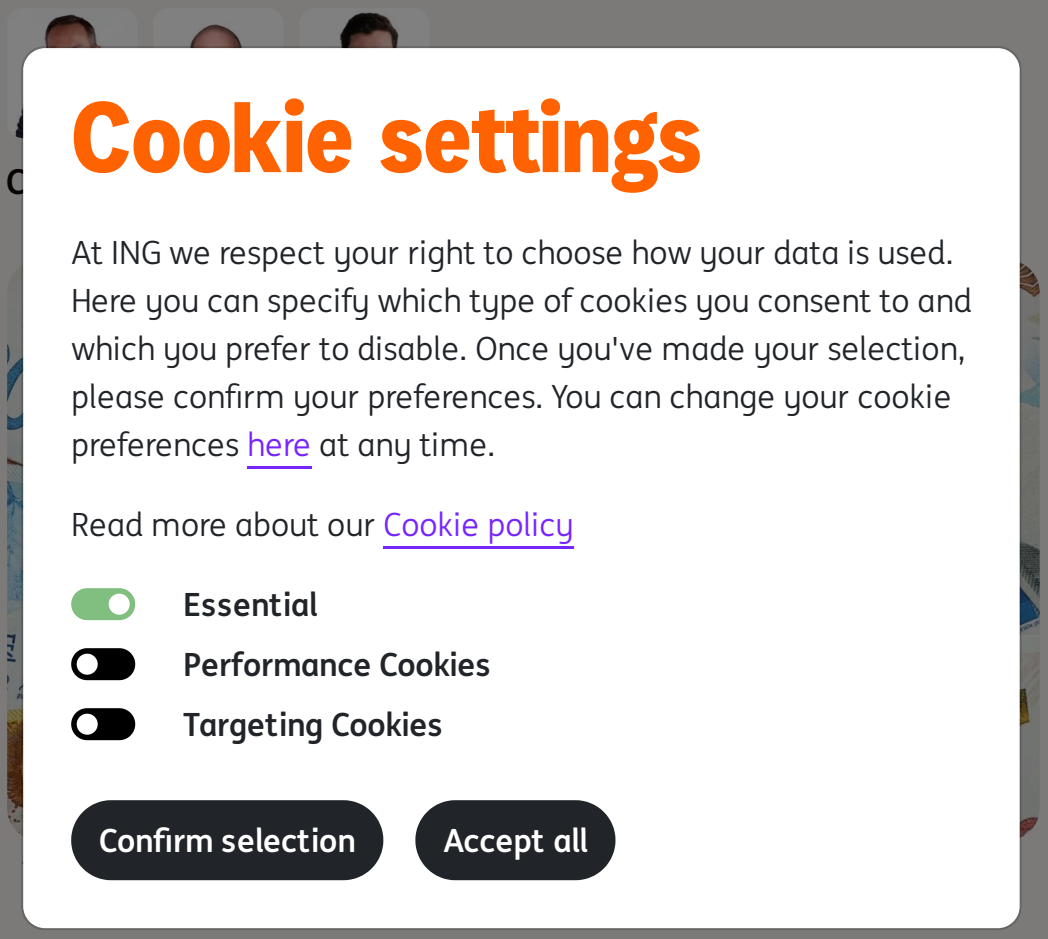
A delayed reaction to the Democrat blue wave has seen some powerful selling of tech stocks. A little surprisingly, the reaction in FX markets has remained very muted. FX participants so far see this as an idiosyncratic re-pricing of the tech sector, rather than a harbinger of recession. Expect defensive FX to outperform, rather than a broad dollar decline



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USD: Payrolls can provide the dollar some support

We have all seen big falls in tech stocks on the back of the threat to data centres. The fact that the equity sell-off spread to the defensive sectors of consumer staples, utilities and healthcare serves as a warning that an asset management industry underweight in cash may be tidying up positions into year-end. After all, most global benchmark equity indices, apart from China, are still in the green on a year-to-date basis.

FX markets have reacted to the equity sell-off in a typically defensive, but muted way. In the G10 space, the high beta Australian and New Zealand dollars are underperforming, while the defensive Japanese yen and Swiss franc are in demand. However, the moves have been small. So far, it seems FX participants are prepared to see the tech sell-off as an idiosyncratic story on the back of the Democrat blue wave, rather than a major macro setback. Notably, the Philadelphia semiconductor index trades on a 61% one-month implied volatility compared to just 7% for USD/JPY. This may help investors to see FX markets as a less correlated asset class compared to the wild swings in tech.

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that the US jobs market is 'solid' and could provide some support to short-dated rates and the dollar. We still think it is too soon to call a broad-based dollar decline and that defensive positions in FX markets will be expressed through cross rates like a lower AUD/JPY or in the emerging world with a weaker South African rand or Mexican peso (see below).

The DXY dollar index is being remarkably resilient and can continue to trade towards the middle of a 101.50-102.50 range. Clearly, the dollar's liquidity advantages and near 4% one-week deposit rates are helping here.

Chris Turner

EUR: Unimpressive

It has been a rather unimpressive performance from the euro. We know that the European buy-side is running low hedge ratios on its US investments. Yet a large US tech sell-off is still not enough to prompt much EUR/USD buying at all. It seems that global investors are more than happy to leave their cash in dollars for the time being. In other words, we are seeing a rotation into cash and not out of the dollar. Helping that story is the return to more familiar correlations, where US Treasuries are now performing their safe h

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CEE: NBP and CNB have swapped roles

The main takeaway from the Czech National Bank meeting yesterday was the 4-3 split within the board, following a long period of a strong majority. The market interprets this as a dovish signal, suggesting the CNB is unwilling to hike rates further unless the inflation situation deteriorates significantly. For the first time since the onset of the US-Iran conflict, the CNB's forecast aligns closely with market pricing, with the PRIBOR rate peaking at around 4.55%. However, inflation is expected to worsen over the remainder of the year, approaching 3% and nearing 4% in 27Q1. We do not believe the current shift in energy prices justifies such a rally in CZK

rates. Consequently, we view two additional rate hikes as the minimum the market will tolerate, and we anticipate a hawkish repricing.

EUR/CZK is facing renewed upward pressure. Indeed, if we take the shift in rate differentials at face value, the rates point toward 24.450. However, as previously noted, rates are likely to correct, as the current rate differential is too tight. Furthermore, the koruna benefits from strong seasonal support in November and December, which should help temper the current weakening pressure following the dovish CNB meeting. We therefore anticipate a new range of 24.350-24.400, little changed from our pre-meeting expectations.

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currencies. EUR/PLN is expected to settle somewhere within the 4.400–4.410 range.

Frantisek Taborsky

MXN: Banxico happy to let the peso drop

In a surprise move, Banxico voted 3-2 yesterday to cut its policy rate to 6.25%. This narrows the Banxico-Fed policy spread to a mere 225bp – the lowest in decades. Banxico is clearly focused on weak growth in Mexico and the negative output gap. It is not worried

about the weaker peso contributing to higher inflation, given its view that pricing power for the consumer sector is very weak.

In a world where central banks are tightening to ride out the inflation hump, Banxico really stands out now. Its position leaves the peso very vulnerable to any pick-up in external risk and USD/MXN pushing above 19 seems more likely than not.

Chris Turner

FX

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Philippine GDP is the highlight of the week, alongside China's inflation and trade data, Taiwan's trade figures, and Japan's household spending and price indicators

Deepali Bhargava and Lynn Song

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Philippine inflation spikes, but BSP likely to hike only 25bp in December

AI in 2027: 20 questions for the global economy

Philippines: GDP growth to rebound on public spending and manufacturing strength

We expect GDP growth to recover to 3.5% year-on-year in the third quarter. This will be driven by a gradual normalisation in government spending and continued strength in the manufacturing sector, which is also reflected in robust electronics

export growth. However, private consumption is likely to remain subdued as consumer sentiment stays weak amid still-soft public spending and elevated inflation, particularly from higher energy prices. While external demand and manufacturing should provide support to growth, the recovery in domestic demand is likely to be more gradual.

China: Trade to remain strong as inflation edges lower

China will release October inflation and trade data. We expect CPI inflation to edge down to 0.8% YoY, from 0.9% in September,

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so, growth should remain exceptionally strong, supported by demand for semiconductors and other AI-related products. Imports are expected to accelerate to 69.2% YoY, from 51.7%, reflecting strong demand for semiconductor equipment, components and advanced materials. Despite faster import growth, the trade surplus is forecast to widen to $25.6bn, from $23.6bn in September, highlighting the continued strength of Taiwan's technology export cycle.

Japan: Household spending, current account and producer prices in focus

Japan will release September household spending and current account data. The market expects household spending to remain weak, falling 3.1% YoY, unchanged from August, highlighting continued pressure on domestic consumption. The current account surplus is forecast to narrow to JPY 3262bn, from JPY 4062bn.

Japan's October PPI will be released on Thursday. Market consensus expects producer price inflation to moderate to 6.5% YoY, from 6.8% in September. Prices are forecast to rise 0.2% month-on-

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Malaysia	1200	Sep Unemployment Rate	-	2,9
		Thursday 12 November		
Japan	0750	Oct PPI (MoM%/YoY%)	CF: 0.2/6.5	-0.3/6.8
India	1830	Oct CPI (MoM%/YoY%)	-/6.00	0.7/5.5
		Friday 13 November		
New Zealand	0545	Oct Manufacturing PMI	-	56,5
Malaysia	1200	Sep Retail Sales (YoY%)	-	6,5
Thailand	-	Oct Consumer Confidence	-	52,1

Note: CF = Market consensus forecast data

Taiwan | Philippines | Japan | China | Asia Pacific

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The AI boom is reshaping growth, productivity, trade, jobs and markets. Investment still has room to run in 2027, but financing is getting riskier and expectations are sky-high. We ask how long it can last, who stands to gain and what happens if the promised returns fail to arrive

Carsten Brzeski, Bert Colijn, James Knightley, Deepali Bhargava, James Smith, Lynn Song, Jan Frederik Slijkerman and Amrita Naik

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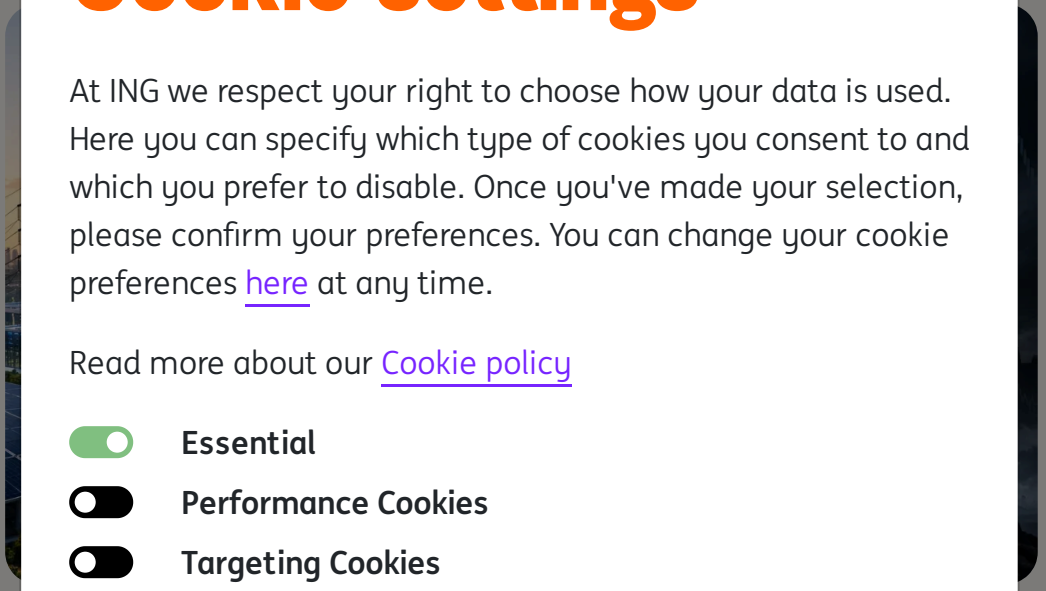

- **The AI boom still has room to run.** Investment is likely to continue rising in 2027, supported by strong demand and constrained supply. But its contribution to US growth is probably close to its peak as the sheer scale of investment makes further acceleration harder.
- **The boom is entering a new phase.** The story is expanding beyond chips and data centres into power generation, grids and cooling. At the same time, financing is shifting gradually from hyperscalers' enormous cash flows towards debt, private credit and

more complex structures, increasing the risks if expected returns fail to materialise.

- **The economic effects are becoming broader and more complicated.** AI is supporting US growth and global technology supply chains, but may also be diverting investment from other parts of the economy. It is adding to inflationary pressures today through demand for energy, equipment and skilled labour, while the hoped-for productivity and disinflation benefits are likely to take longer to emerge.
- **The winners will not necessarily be those building the**

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Railroads, electrification, dotcom fibre: how does today's AI boom compare with the great investment manias of the past?

Bigger than the dotcom boom, more important for growth and, so far, more safely financed.

Investment in US data centre structures, computers and software reached 5.6% of GDP in the second quarter of 2026, up from 3.8% in 2022, or 5.2% once imported hardware is netted out. That already

puts the current boom above the dotcom peak in 2000, when business investment in computers, communications equipment and software reached about 4.5% of GDP, although still below Britain's railway mania of the 1840s, when railway investment alone reached roughly 6-7% of GDP.

So while this is not the biggest investment boom in history, it is already bigger than the last great technology boom. And it is having a much bigger economic impact: IT investment accounted for 16-18% of US GDP growth in 1998-2000; AI-related investment now accounts for 37%.

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software, accounting, online retail and advertising.

The common thread is that transformative technology does not necessarily mean good returns for those who finance the transformation. The Nasdaq lost almost 80% between 2000 and 2002, yet the fibre laid during the boom went on to underpin the streaming economy. Investors build the road; others get to drive on it.

How much more will be invested in AI in 2027, and is the boom still accelerating?

Still accelerating in dollars, but probably peaking in its contribution to growth.

Momentum remains strong. Taiwan's leading semiconductor companies report order books that are full on a rolling 18-month basis, with any new capacity snapped up as soon as it comes online. Industry forecasts point to tight supply-demand conditions until 2028. Barring a wave of order cancellations or defaults, that points to another year of heavy AI investment in 2027, with hyperscaler capex expected to exceed US$1 trillion, increasingly geared towards AI infrastructure.

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guidance that stops being revised up, and a widening gap between investment and AI revenues.

For now, the bigger risk is not that the money runs out in 2027, but that it keeps flowing so fast that the questions about returns grow much louder in 2028.

Chips and data centres are only the first layer. How big is the second wave of

investment in grids, power generation and cooling?

Bigger, slower and longer-lived than the first wave – and potentially more important for the macro outlook.

As a rule of thumb, US$1bn buys roughly 25MW of fully equipped AI compute capacity. Not all of the c.US$1 trillion of hyperscaler capex expected in 2027 will go to AI compute; some will fund conventional cloud infrastructure. But even if only half does, that implies more than 12GW of additional power demand – roughly the output of a dozen large nuclear reactors, needed around the clock.

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construction and engineering firms, so the benefits travel further.

There is a catch. Somebody has to pay for the grid, and in regulated markets that somebody is often the household electricity customer. Rising power bills are already turning data centres into a political issue in parts of the US, and they feed straight into the inflation debate.

Chips are the sprint. Power is the marathon – and the marathon may end up mattering more.

Is this an American party, or does Europe get an invitation? Who supplies the picks and shovels?

So far it is very much an American party – but Europe supplies the catering, and may turn out to be the smarter guest.

The investment gap is stark. US imports of computer equipment and semiconductors, a rough proxy for AI investment, have risen by about 258% since 2019, compared with 38% in the UK. Europe's own build-out is held back by high energy prices, scarce grid capacity – think of the data centre moratoria in Dublin and A
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FDI into semiconductors, electronics manufacturing, and supporting supply chains as firms expand capacity and diversify production networks.

More importantly, the broad economic gains from AI come from using it, not building it – and here Europe is surprisingly good. Uptake is strong, and European SMEs use AI almost as intensively as large corporates, because the upfront investment is low. Nor does AI look like a winner-takes-all technology: switching costs are low and network effects limited. If model providers end up competing on price, the spoils go to the users – and Europe does

not need to build nearly as many data centres to compete. Late to the construction site, Europe could still be early to move in.

There is a silver lining, too. Europe is far less exposed if the boom turns to bust. Its AI capex is smaller and the wealth channel much weaker: equities make up 13% of UK households' financial assets, versus 44% in the US. Missing the party also means skipping the hangover.

Which sectors stand to win most, and which risk being left behind?

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But don't write off every exposed sector. The Jevons paradox – cheaper supply raising demand – could favour some of them. Legal services is a good example: if AI makes contract review or legal advice much cheaper, demand may rise faster than the cost per task falls. Growth may also come from unexpected places. In healthcare, AI-driven drug discovery and diagnostics could open up new treatments, creating demand rather than merely cutting costs.

Ultimately, productivity gains depend more on the tasks employees perform than on the sector they sit in. Workers handling

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large amounts of data, text or graphics are likely to see the largest gains. The chart below, from our 2023 work, shows how the potential benefits of generative AI across tasks relate to the degree of digitalisation across sectors: the more digital a sector already is, the faster AI can travel through it.

In short, the winners will be those that build AI or use it to work smarter. The losers will be those whose core activities can increasingly be automated.

Growth, prices and trade

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accounts for 37% of US real GDP growth. Substantial, but a long way from the 'AI is the only game in town' narrative.

The more uncomfortable finding lies outside tech. Rather than lifting the overall growth rate, the AI boom seems to have cannibalised growth elsewhere. Strip out AI, and the rest of US private non-residential investment had fallen year-on-year for six consecutive quarters by mid-2026. Before 2021, tech and non-tech investment moved broadly in step; since then, they have moved in opposite directions. One explanation: shareholders reward companies that embrace AI, so capital budgets are being redirected towards tech at the expense of everything else. So the boom isn't

so much about creating additional investment as redirecting investment from elsewhere in the economy.

What would US growth look like without AI? Not simply 37% lower. Part of the capital, engineers and electricity absorbed by AI would have found other uses. A world without the AI boom would most likely show weaker growth, but not by the full amount of AI's contribution – and with a more balanced investment mix.

For 2027, our plateau base case implies a smaller AI contribution to growth. That would give the non-tech economy room to breathe – but only if it is ready to take over.

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without an exceptional acceleration. While AI-related sectors are providing a significant boost to several Asian economies, this largely reflects rapid investment and higher capital utilisation rather than a sustained improvement in underlying productivity. However, in China, we've seen labour productivity growth pick up in the last two years, breaking what had been an extended downtrend as Chinese companies race to incorporate AI in workflows. In the eurozone, which lacks comparable AI investment, labour productivity growth remains lacklustre, with very few exceptions, like for example, in the Netherlands.

The technology holds real promise for broad-based productivity gains. But reaping them requires wider adoption and investment in infrastructure and skills, both within companies and across the economy. That suggests a J-curve: heavy upfront intangible investment – time spent learning new skills and reorganising workflows – could initially mute measured productivity before the investment pays off, possibly quite abruptly. Electrification is the classic precedent: the electric motor arrived in the 1880s, but factory productivity only took off in the 1920s, once factories had been rebuilt around it.

And even then, a shift of the workforce towards sectors where p… w… d… s…

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I… E… c… &…

Inflationary today, disinflationary tomorrow – but don't hold your breath for the outright deflation Silicon Valley promises.

It depends on your time horizon. For now, the effect runs in the inflationary direction. AI's enormous energy demand is adding to the current energy shock, memory chip prices have surged, and the scramble for electricians, transformers and construction capacity is pushing up costs. Meanwhile, the investment boom is pouring fuel on the fire of a US economy already running with above-target inflation.

In the longer run, once the technology lifts productivity, it should lower unit labour costs and exert disinflationary pressure across the economy. Like most technological breakthroughs, AI will probably end up being disinflationary. But the effect will be concentrated in services and much smaller for goods with physical inputs. Algorithms can't make steel, copper or concrete cheaper.

There is also a less comfortable twist. AI allows companies to price dynamically, adjusting prices to what each customer is willing to pay and thereby capturing more of the consumer surplus. That could make some prices stickier rather than lower. Together with the physical constraints, this makes the outright deflation Sam A

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A rewarding the countries that own its choke points.

AI is increasingly sorting the global economy into winners and laggards. The IMF has raised its outlook for economies benefiting from the AI investment boom, particularly those embedded in the global technology supply chain, while countries outside it see much less of a boost. Taiwan is riding booming semiconductor demand, South Korea is benefiting from demand for high-bandwidth memory, and the effects travel upstream to the suppliers of advanced chipmaking equipment, including the Netherlands.

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This illustrates how AI is reshaping both trade and investment flows. Spending on data centres and computing capacity in the US drives demand for chips from Asia, which in turn requires investment in semiconductor capacity and equipment from Europe, Japan and the US. The result is an international AI investment chain, with growth increasingly flowing to the countries that hold its critical links. It also explains a good part of the surge in the US import bill: every data centre built in Texas shows up in Taiwan's export statistics.

Trade policy is the second force reshaping the chain. Export controls on advanced chips to China, tariffs and subsidy programmes such

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Evidence on AI's labour market impact remains fragmented, and the economy-wide effect is still limited. If history is any guide, fears of mass unemployment are overdone: with every major technology of past centuries, growth was strong enough to create jobs elsewhere, even as demand for some types of labour fell. But if adoption is so fast that labour demand and supply can't adjust in time, unemployment could rise temporarily.

The first cracks are showing at the entry level. In the US, job growth has remained positive but weaker in sectors with high AI exposure; evidence from the eurozone is mixed. The Dallas Fed finds that

employment among young workers in AI-exposed occupations has weakened, mainly reflecting lower hiring rather than more layoffs. According to the Stanford Digital Economy Lab, employment among 22-25-year-olds in highly exposed occupations was around 19% below where it would have been by June 2026 had it kept pace with less-exposed occupations. In China, we see similar pressures on entry-level work reflected in rising youth unemployment. The Chinese government has planned training and job replacement policies to help alleviate any negative effects of AI on employment. For developing Asia, particularly India and the Philippines where outsourcing sectors are highly exposed to AI, the

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Who pays?

Is the boom still funded from cash flows, or are hyperscalers increasingly turning to debt?

Still mostly from cash flows – but the cushion is thinning and the borrowing has begun.

The largest hyperscalers have so far paid for the AI build-out out of their own pockets, which is the biggest difference from the dotcom and railway booms. But capex is absorbing a rising share of operating cash flow, squeezing free cash flow and leaving less room for share buybacks. For companies that used to return cash to shareholders at a record pace, that is a notable shift in priorities.

Borrowing is stepping up. Several hyperscalers, such as Amazon, Alphabet, Meta, and Oracle have issued jumbo bond deals since 2025, with Oracle the most leveraged of the group. Equity markets are being tapped too: several big tech firms announced plans to raise equity in June. None of this is alarming on its own – these are

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books.

The direction of travel is clear. The boom started as a self-funded venture by the richest companies in the world. It is gradually turning into a credit story.

Leases, SPVs, private credit: how opaque has AI financing become?

More opaque than the hyperscalers' balance sheets suggest – but so far, the risk rests on some of the strongest borrowers in the world.

A growing part of AI financing is moving off balance sheet. Special purpose vehicles and joint ventures, such as Meta's Hyperion data centre financed with Blue Owl, long-term leases and GPU-backed loans allow companies to fund the build-out without the debt appearing directly on their own books. Securitisation of data centre assets through asset-backed securities and commercial mortgage-backed securities is growing as well, bringing a wider pool of investors into the game.

Leases are a particular blind spot. They are recognised as on-balance-sheet commitments only once contracts are final; until then, the extent of incremental lease liabilities is uncertain. There is a

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where risks are concentrated – and harder to judge how a shock would travel.

Looking ahead, capital may eventually become a major constraint on the AI build-out, alongside permitting and access to power. The more the industry relies on creative financing, the more it depends on investors' continued willingness to lend. Financial engineering can prolong a boom, but it can't make the returns appear.

How exposed are banks, and is private credit the shadow banking of this cycle?

Direct bank exposure looks modest; private credit is the obvious weak spot – but contagion would run through markets rather than bank failures.

Banks' direct exposure to AI looks limited. The hyperscalers fund themselves mainly through cash flow and bond markets rather than bank loans. Indirect exposure is harder to gauge: banks lend to private credit funds, data centre developers and construction firms.

Private credit is the obvious weak spot. Is it the shadow banking of this cycle? Partly. It has less of the maturity mismatch that made pre-2008 shadow banking so fragile: much of the capital is locked u
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the economy rather than through bank failures. That is less dramatic than 2008, but not harmless: a repricing of credit risk would raise funding costs far beyond tech, hitting the very non-tech investment that is already struggling.

Banks may well escape an AI bust largely unscathed. The economy they lend to may not.

Vendor financing déjà vu: should we worry when chipmakers fund their own customers?

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Worth watching, but this is not Lucent and Nortel all over again – mainly because the balance sheets are much stronger.

The dotcom precedent is uncomfortable. Lucent, Nortel and Cisco lent money to telecom start-ups so they could buy their equipment. When the customers went bust, the suppliers took the hit, and much of the reported demand turned out to have been financed by the sellers themselves.

Today, there are echoes. Chipmakers are taking stakes in AI labs and neoclouds that then buy their chips. The same handful of firms raise money, buy chips, lease compute and book revenue off one a
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travel quickly through its suppliers, landlords and investors, who are often the same companies. And they make it harder to judge how much genuine end-demand there is for AI – precisely the question on which the whole boom rests.

The test is simple: follow the money until it reaches a customer who isn't also an investor. The longer that trail gets, the more nervous we should become.

Higher Fed rates helped end the dotcom bubble. Could monetary policy or bond

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yields pop this one too?

Probably not as the trigger – but monetary policy could make any bust more painful, because the safety net is thinner than in 2001.

In 1999-2000, the Fed hiked rates to 6.5% before the dotcom bubble burst, then cut by almost five percentage points in 2001. This time, an energy shock is keeping inflation above target. Actual rate hikes and more rate hikes to come could bring both the Federal Reserve and European Central Bank closer to risky territory.

High policy rates do not necessarily stop AI investment first. If expected returns on AI remain very high, capital may keep flowing

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long-term yields would therefore hit hardest where the build-out depends most on external funding.

The bigger issue is the safety net. If the bubble bursts, central banks can't come to the rescue as aggressively as in 2001 while inflation is above target. Fiscal space is also far more limited than a quarter of a century ago.

But don't rule out a different kind of rescue. AI is not just an economic tool; it is also about power – geopolitical and technological. If things went south for the sector, some form of government support would be conceivable, from public

procurement to guarantees or targeted support for strategically important companies. The dotcom bust was left to the market. An AI bust might not be.

Monetary policy is unlikely to pop this bubble. But it could decide how hard the landing is – and Washington may decide who gets a parachute.

Bubble or not?

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uncertain long-term economics.

Then the revenue gap. Capex is running ahead of AI revenues, as it can take several years for investment to translate fully into revenues. Amazon, Microsoft and Alphabet have invested around US$600bn over 2023-25. As a rough rule of thumb, every dollar of AI infrastructure may need to generate 40-50 cents of annual revenue (assuming hyperscaler-like margins), implying US$240-300bn a year – although not all of this capex was AI-related. That looks large, but less so next to labour costs. At US$100,000 per employee, US$300bn is the cost of three million workers. AI doesn't

need to replace them: a 20% productivity gain across 15 million employees would deliver the same value. Consumers alone won't close the gap; the money has to come from enterprises.

Two caveats. Concentration: the weight of the largest tech stocks in the S&P 500 exceeds the dotcom peak, so any disappointment would hit the whole index hard. And circularity in financing and revenues makes true end-demand harder to measure.

Finally, a bubble in prices doesn't mean the technology is a dud. Railways had a bubble. So did the internet. Both still changed the world.

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a single day. Cheaper compute can raise demand – the Jevons paradox – but higher volumes can come with lower margins. That makes the profitability of AI labs such as OpenAI and Anthropic the big question mark. If it disappoints, the hardware will still be needed, but the build-out would likely slow. Nvidia's exceptionally high margins could also normalise if competition increases or the scarcity value of leading-edge compute declines.

Missing from most lists is financing: rising bond yields, a credit event at a leveraged neocloud or private credit fund, or an energy shock that keeps central banks hawkish.

Ultimately, we see the biggest risk in overcapacity. Continued innovation in chips, more efficient models and optimised algorithms could eventually create an imbalance between supply and demand, pushing down utilisation and returns. For now, though, the industry is still struggling to scale compute and secure enough power, while new business models and applications keep emerging.

There is one more way to read today's capacity commitments: as strategic entry deterrence. Announcing gigantic investment plans discourages competitors from entering the market – and some of those plans may never be fully executed if returns disappoint. That w… a s…

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A… household wealth. At 2.6 cents per dollar, that means a drop in consumer spending of around $640bn, or 2.9% of nominal consumer spending (an annualised $22.3tn in August). With wealth even more concentrated than in 2020, the multiplier is probably weaker; at 2.2 cents, the hit would be around 2.4%. That is a level effect, typically playing out over one to two years – but a big number nonetheless.

History offers some comfort: during the dotcom bust, US consumer spending barely flinched. But it could be worse this time. First, wealthy households are currently the only ones holding up

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spending; the bottom 60%, who spend roughly as many dollars as the top 20%, are squeezed by tariffs and higher fuel prices. Second, the Fed has less room to cut than in 2001. Third, the credit cushion is thinner: rising delinquencies on car loans and credit cards show stress building at lower incomes.

The good news: this is not 2008. US household debt stands at around 70% of GDP, the same as in 2001 and well below the 100% reached in 2007.

In the end, the wealth effect is the smaller channel. After the dotcom bust, business investment fell by 11% in two years. IT e
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The rates channel points in the same direction. Negative wealth effects, weaker consumption and slower US growth would eventually push the Fed towards rate cuts, narrowing interest rate differentials against the dollar. The timing would depend on inflation: with prices still running above target, the Fed may cut later than markets hope, which could limit the dollar's fall in the early stages.

Among the winners, the yen and the Swiss franc would play their traditional safe-haven role. The euro could benefit relatively, given Europe's lower exposure to both AI capex and equity wealth (4Q). A

tech crash made in America would, for once, be a reason to hold European assets rather than flee them.

The losers would be the currencies of Asian tech exporters, notably the Taiwan dollar and the Korean won, whose economies are leveraged bets on AI demand. They would come under heavy pressure, although intervention by local authorities and the legacy of huge trade surpluses would cushion the blow somewhat.

The bottom line: in an AI bust, the dollar may lose its reputation as the place to hide. Not because the world has found a better safe haven, but because this time the fire would start in the safe house.

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employment – to rebound. A bust would be a very different animal: an abrupt choking off of tech investment, similar to 2001, combined with a negative wealth effect on consumers through falling stock markets. And this time, central banks would have less room for rate cuts as inflation remains their main concern.

Which signposts should readers watch? For the boom itself, the key indicators are hyperscaler capex guidance, Taiwanese order books and lead times, and AI revenues relative to capex. Markets will focus on realised AI revenues at the large technology firms, margins on incremental revenue and how the next phase of the build-out will

be funded; figures that disappoint relative to company budgets and analysts' forecasts could trigger a sell-off.

On financing, credit spreads on AI-related debt, private credit flows and redemptions, and bond yields and term premia will show whether investors remain willing to fund the build-out. In the real economy, the questions are whether non-tech investment finally recovers, how hiring in AI-exposed sectors develops, and what productivity, grid connection and power data are telling us.

The question for 2027 isn't whether AI will change the world. It's whether anyone gets paid for it in time. If earnings fail to match s

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A creeping move lower in equities would eventually be ignored by Treasuries. But a large dump in equities would not. Treasuries are so far very much in vogue. In Europe, bond spreads are widening again as we head into another weekend of street unrest. Friday sees US jobs data competing for the spotlight, although Thursday's low claims were broadly ignored

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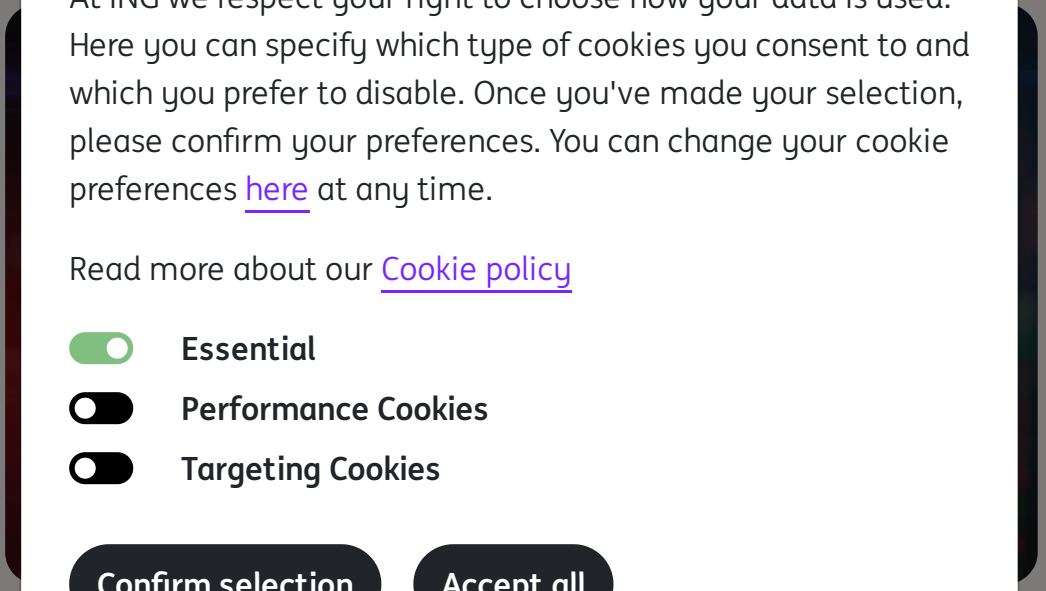

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A creeping move lower in equities would eventually be ignored by Treasuries. But a large dump in equities would not

The US 10yr yield is now down some 50bp from its recent highs. The drivers have been real money value hunters (mostly domestic, but also including international players), some fast money longs in Treasuries versus payers in SOFR in a short swap spread trade, and finally a risk-off tone in the AI space that's been counteracted by safety flows into Treasuries. The latter has been the dominant

driver of the last 10-15bp, which has taken the 10yr yield down to the low 4.80s%. Should the AI rout intensify, it's tough to see long-end yields doing anything other than trekking still lower in sympathy.

To what extent is this a US election-driven outcome? We could paint a narrative in which electorate support for fewer data centres and greater scrutiny of the AI space is a factor. To an extent, it is. But the bigger picture sees AI valuations generally under pressure. How long this persists is tough to call, but suffice it to say that the technical picture does not look great for the coming few weeks at least. The 4.65% area for the 10yr yield is where we could settle s

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by an extension of post-election positive risk sentiment, sentiment later soured on AI jitters. The VIX index – the equity market's fear gauge – jumped to the highest since March as tech stocks came under increasing pressure.

In bond markets, souring sentiment made itself felt in rewidening spreads. The 10y OAT/Bund spread ended its brief recovery below 150bp. To be fair, the market also found itself confronted with more headlines around protests in France, highlighting the political challenge the country faces trying to consolidate its finances.

Markets will be looking to the US jobs data to inform their Fed view. However, the data thus so has kept us well within the low-hire / low-fire narrative, so it would probably take a larger surprise to impact the market and take the eyes off the renewed AI concerns.

Bank of England opens door to hawkish repricing

The Bank of England hiked as expected, but revised inflation forecasts add additional upside risk to rates. Markets now price in a 50% chance that the next hike will be in December, and then at least one more hike later in 2027. Every committee member agreed t… s t… e… o…

H… e… a… e h… t… , b… t…

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The highlight of the day is the official US jobs report. The consensus is looking for 65k growth in non-farm payrolls for October, up from 29k in September. The unemployment rate is expected to stay at 4.2%. We will also get the preliminary University of Michigan consumer sentiment index, expected to stay at a dismal reading of 48. The Fed's Williams will speak in a fireside chat alongside ECB chief economist Lane at the ECB's money markets conference. Separately, the Fed's Musalem and Bowman are also scheduled to speak.

In primary markets, only Belgium will be active with a smaller-sized optional reverse enquiry auction.

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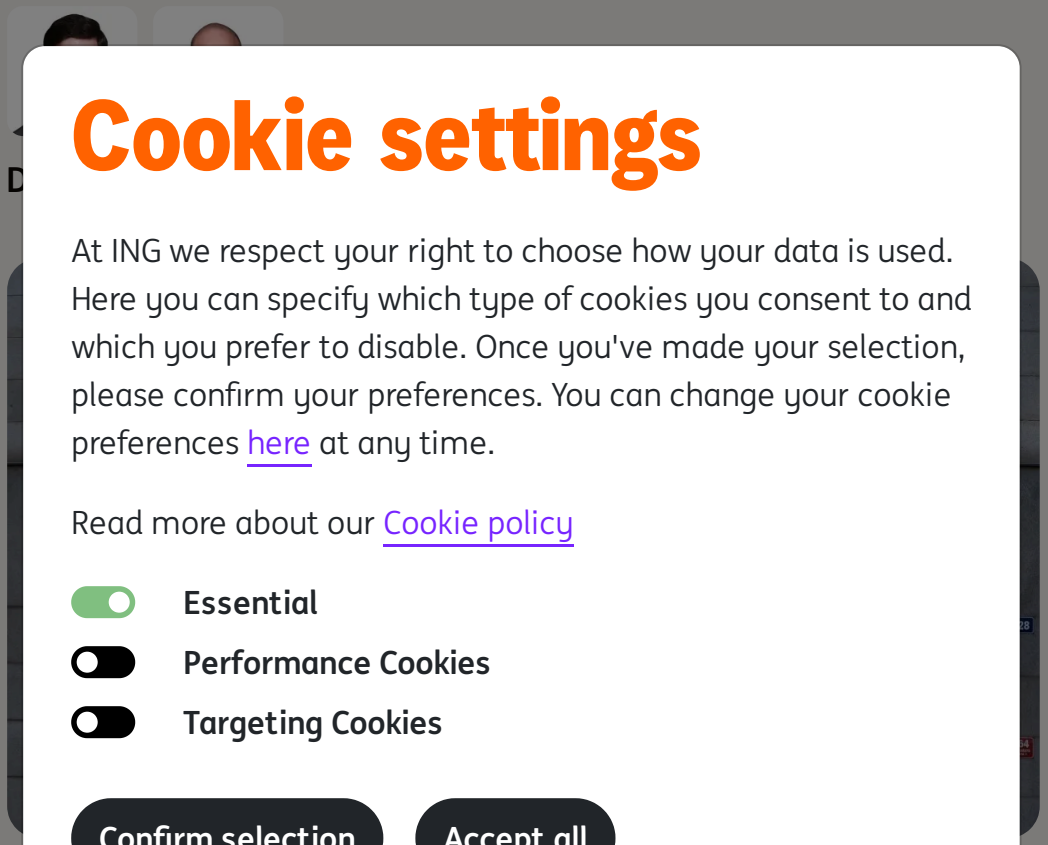
The CNB increased the policy rate to 4%, in line with market expectations. However, the decision was very close, a 4-3 split. The new CNB forecast is revised toward a punchier inflation amid a softer economic expansion, implying a higher rates trajectory. We see 4% as the new normal, while further hikes will be restrained by dwindling economic activity



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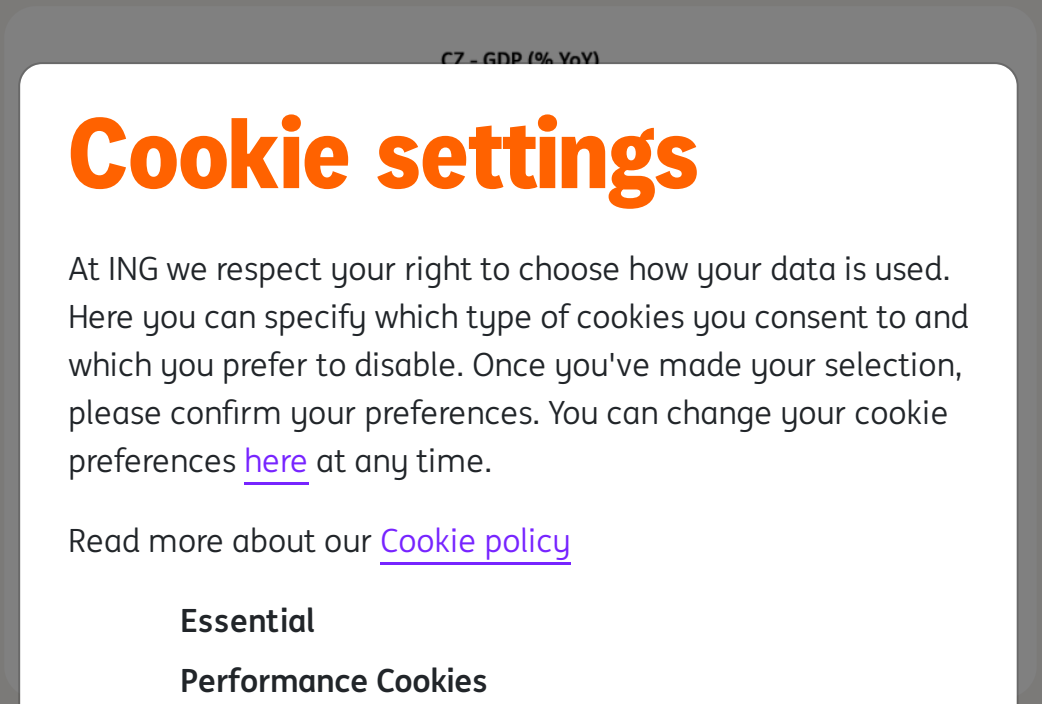
Punchier inflation amid mediocre economic performance

The CNB proceeded with a rate hike on Thursday, raising the base rate to 4%, which matches the expectations of market participants. The decision was taken in a split vote as four board members favoured a tighter monetary policy setup, while three policymakers opted for rate stability. The situation is perceived as inflationary, with persistently elevated core inflation, weaker exchange rate, and a still strong housing market, along with ample credit growth, seen

as the main forces to keep in check through a tighter monetary policy stance. Robust wage growth and expansive fiscal policy are also assessed as risks to price stability. The decision and the mood of the press conference are in line with our expectations in both respects: i) one rate rise in November, and ii) concerns about economic performance putting a lid on further tightening.

CNB's real GDP path remains on the optimistic side



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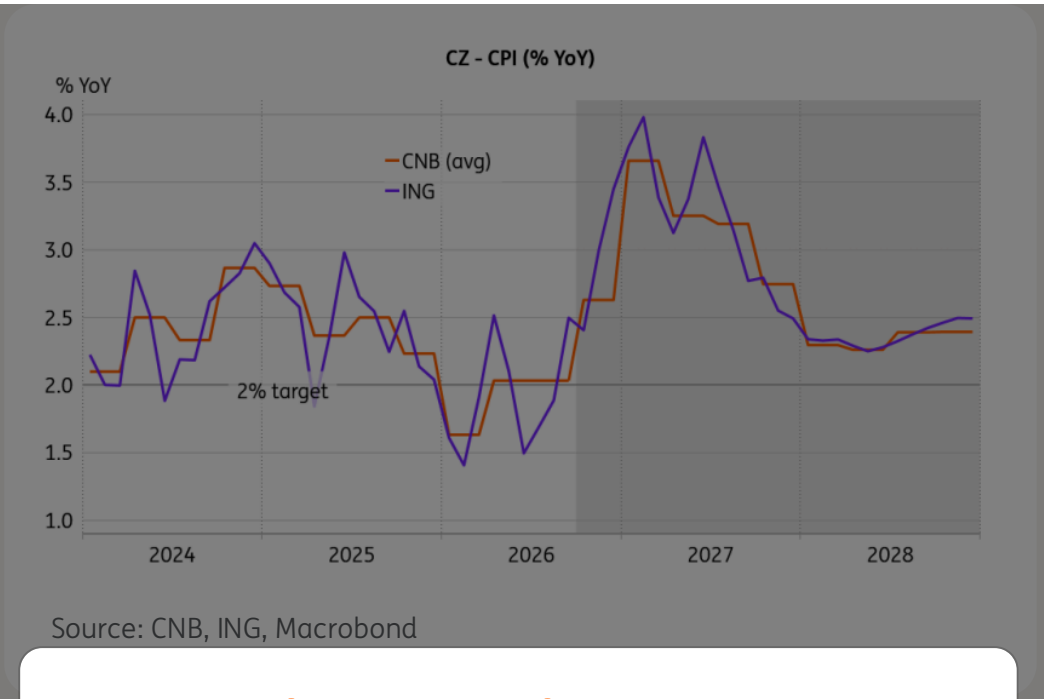
close to ING's view throughout the forecast horizon. Meanwhile, the CNB growth outlook remains a little optimistic compared with our view, especially for the coming year. As for short-term interest rate, the CNB forecast suggests a further increase up to 4.5% in the nearest future, followed by a gradual decline from 2Q27 to 3.5% at the end of 2028. We see such a trajectory rather as an alternative scenario, should inflation prove even stronger than in our forecast.

Forecast marriage in inflation



Source: CNB, ING, Macrobond

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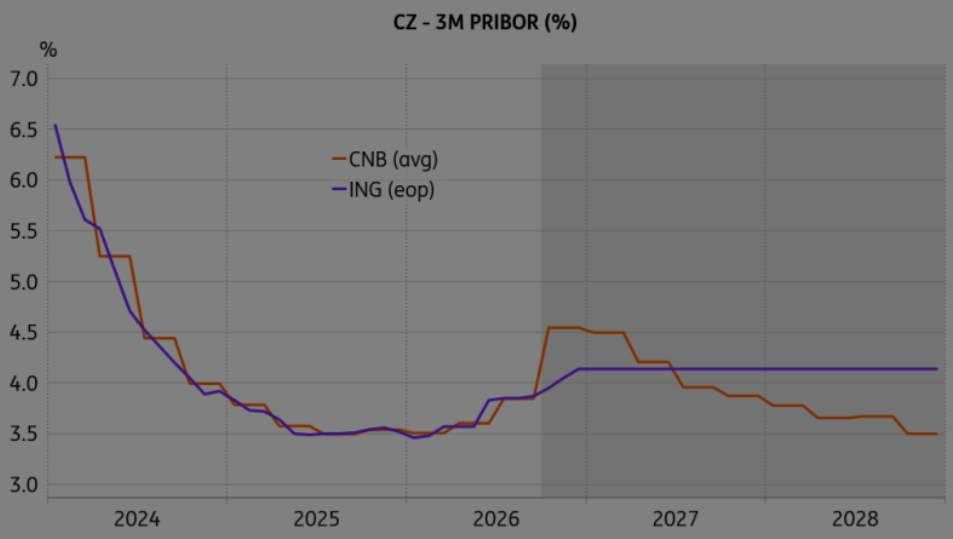
swiftly, while having inflation still running above your target and the economy growing around its potential? I have some doubts, but will stick to the old good maxim *in dubio pro reo*.

The bank board will likely smooth out the rates path



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onset of the US-Iran conflict, the CNB's forecast aligns closely with market pricing, with the PRIBOR rate peaking at around 4.55%. However, inflation is expected to worsen over the remainder of the year, approaching 3% and nearing 4% in the first quarter of 2027, bringing the new CNB outlook closer to our own forecast. We do not believe the current shift in energy prices justifies such a rally in CZK rates. The move appears excessive at this juncture. Consequently, we view two additional rate hikes as the minimum the market will

tolerate, and, given today's rebound, we anticipate a hawkish repricing.

EUR/CZK is facing renewed upward pressure. Indeed, if we take the shift in rate differentials at face value, the rates point toward 24.450. However, as previously noted, rates are likely to correct, as the current rate differential is too tight. Furthermore, the koruna benefits from strong seasonal support in November and December, which should help temper the current weakening pressure following the dovish CNB meeting. We therefore anticipate a new range of 24.350–24.400, little changed from our pre-meeting expectations.

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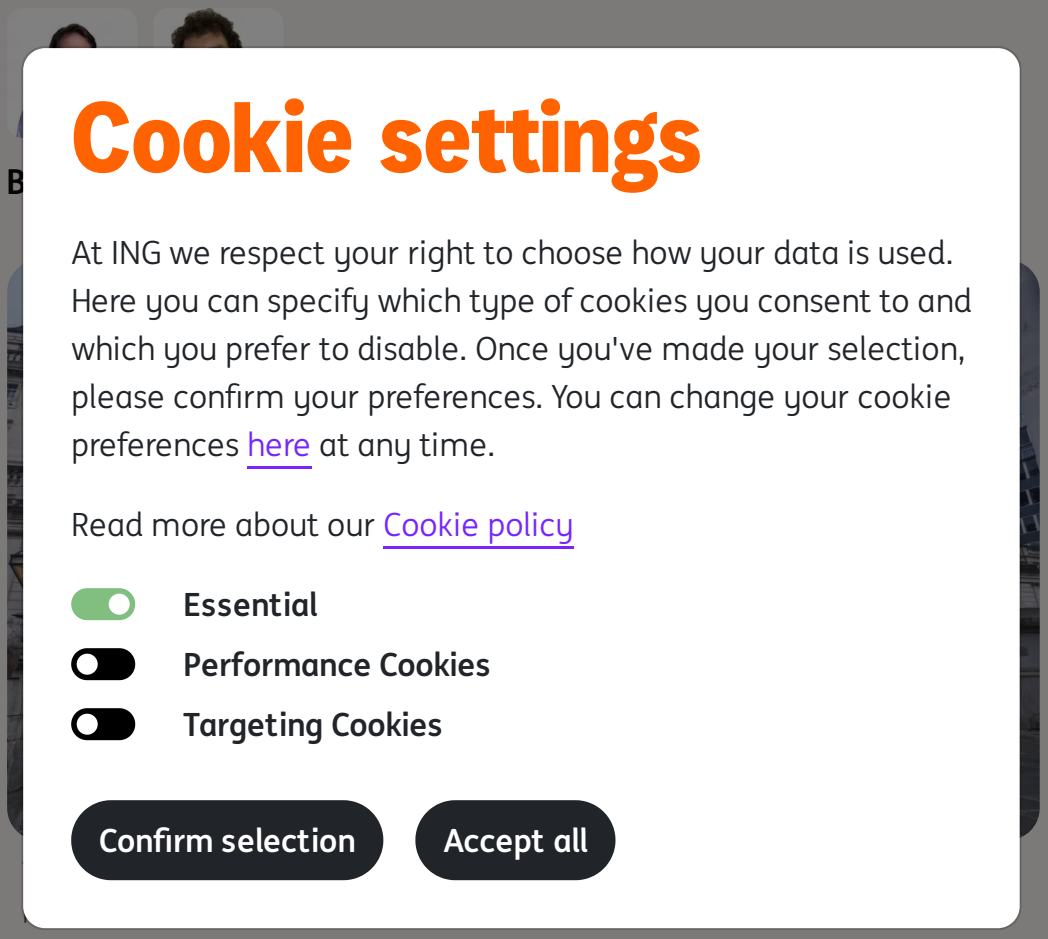
A win for the Democrats helped Brent oil ease below $100, benefiting European government bonds. But we cannot ignore a 4% eurozone inflation reading, showing higher energy costs are already passing through the economy. The same story applies to the UK, where the Bank of England will likely hike rates. But with 24bp already priced in, this won't be a surprise



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Euro rates like oil sliding below $100, but doesn't change 4% inflation reading

Market sentiment remains positive after Democrats won back both houses of Congress. The feed-through into European government bonds works via a noticeable easing in energy prices, with Brent sliding well below the US$100/bbl mark.

It eases the pressure on the ECB as markets see a greater chance that meaningful second-round effects can be avoided. Front-end

inflation swaps have dropped noticeably over the past few sessions, and the money market curve now only expects a little more than 50bp of tightening by summer next year. There is still a contrast to printed inflation, where we saw headline inflation rise to 4% in October with yesterday's release. We believe tensions will continue to be a source of volatility until time and data give markets more certainty about where we land.

Meanwhile in bond markets, 10y Bund yields slid below 3.3%. The 10y OAT/Bund spread has eased below 150bp, tightening more than 10bp on the day. We had pencilled in some spread tightening towards the end of the year mainly on the expectation that a 2027 b
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meeting, as much will depend on inflation data. Markets have become less correlated with oil and we think each inflation release in the coming months will be anxiously watched for second-round effects. We think inflation dynamics should start improving by mid-2027, warranting the start of a big repricing lower for GBP rates.

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Thursday's events and market views

We start the day with French industrial production in September, for which consensus pencils in -0.3% YoY growth. Other interesting data includes eurozone PPIs for September,

which is expected to increase by 10.6% YoY on the back of higher oil prices. From the US, we have challenger job cuts and weekly jobless numbers.

Spain will auction around €6.75bn across 5y, 10y and 14y SPGBs and a 7y SPGBei. France will auction €12bn across 10y, 12y, 17y and 31y OATs.

Rates Daily

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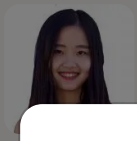
Energy affordability shaped the midterms. A divided government will now face pressure to shield consumers from rising data centre power costs while speeding up new energy supply. Onshoring and trade protections will continue, despite higher near-term costs, as energy security remains a priority



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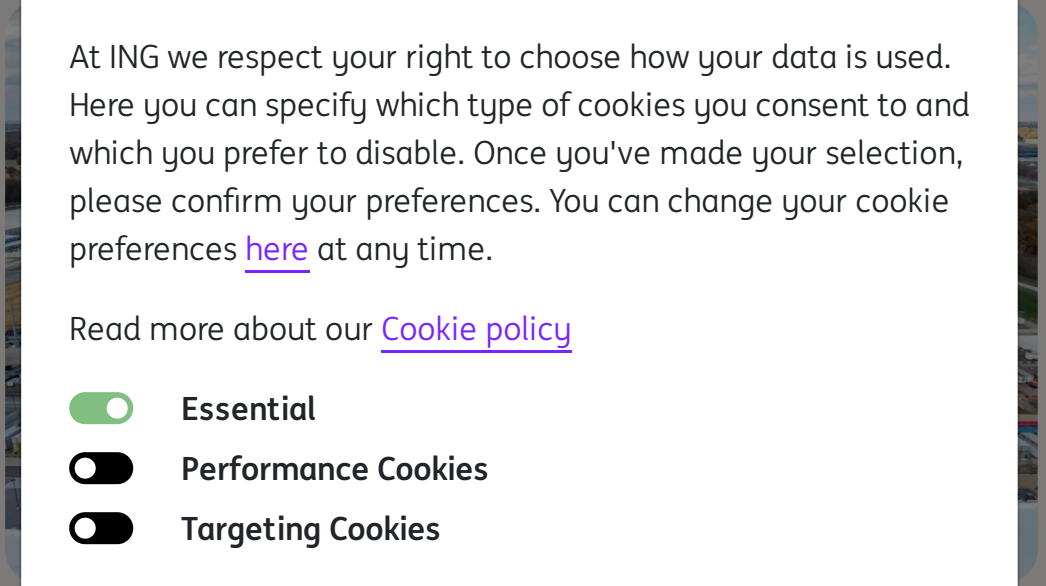

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Exit polls from the US midterm elections highlighted a key concern shaping voters' decisions: energy affordability. Nearly 90% of voters said the cost of living was a crucial or major factor in their vote for Congress, with many pointing to gasoline and utility costs. Meanwhile, as the AI data centre boom strains power supply and infrastructure, 56% said the issue was a crucial or major factor in their vote.

With Democrats now set to control both the House and Senate, what does this mean for US energy and data centre policy?

Newly elected lawmakers will face pressure to address these concerns, requiring the Democratic Congress and Republican White House to find common ground on shielding consumers from data centre-related costs and accelerating new power supply, including through permitting reform. Onshoring and supply chain protections are also likely to continue. While they can raise near-term costs, they remain important to US energy security. Developments in all three areas could have significant implications for businesses.

That said, Congress needs to strike a balance when drafting legislation aimed at achieving these goals. More aggressive measures could face a veto from President Trump.

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remain unlikely to become mainstream. Where they are introduced, they are more likely to be temporary, giving states time to develop a data centre policy framework.

At the federal level, the key unanswered question is how much authority should remain with the states and whether federal legislation should mandate state regulations or simply provide guidance. Republicans generally favour letting states lead, while Democrats tend to support a stronger federal role.

We think sweeping data centre legislation is unlikely because of President Trump's veto power. Federal action is more likely to focus

on affordability by protecting electricity customers from higher costs and formalising data centres' responsibility to help fund grid and energy infrastructure upgrades. Such measures could be added to broader legislation, such as must-pass spending bills needed to avoid a government shutdown, or a bipartisan package like permitting reform.

More broadly on AI, we expect the Democratic Party to increase scrutiny of technology companies, as discussed here, while utilising the next two years to prepare an AI governance framework for 2028 and beyond.

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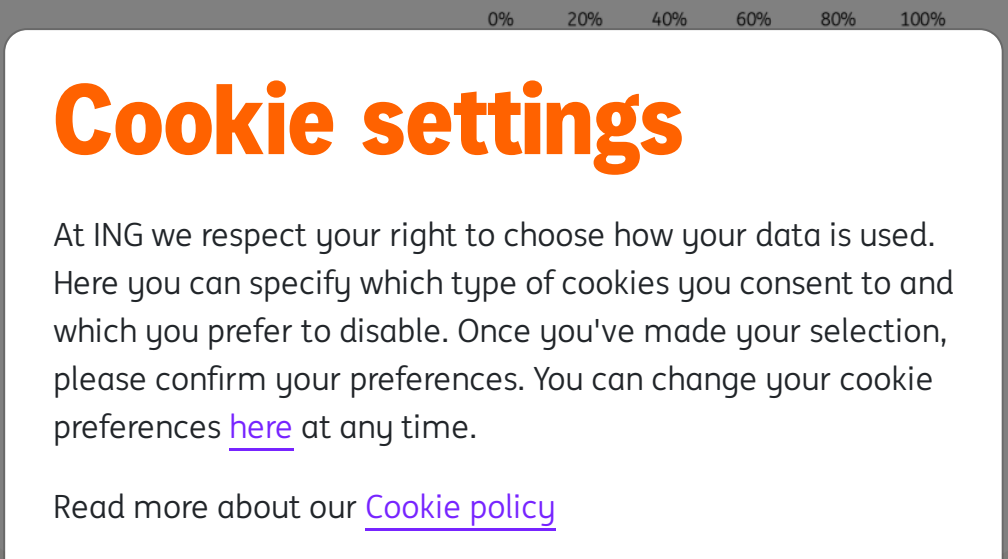
measured pace, ultimately improving the quality of the project pipeline.

Developers should also treat community engagement as a strategic investment. Recent surveys show that while only 20-30% of Americans support local data centre construction, support can rise to 50-70% when there are accompanying community investments, such as in public infrastructure improvements or reductions in residents' costs. More developers are now signing binding community benefit agreements as part of project development.

Finally, sustainability will become more important for project development, not only to meet potential environmental standards, but also to build community support. Read more here.

Americans' perceptions on local data centre construction, with and without community investment



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pressures. While Democrats and Republicans differ on the preferred energy mix, there is still common ground. Technologies likely to retain bipartisan support include nuclear, geothermal, carbon capture, and biofuels.

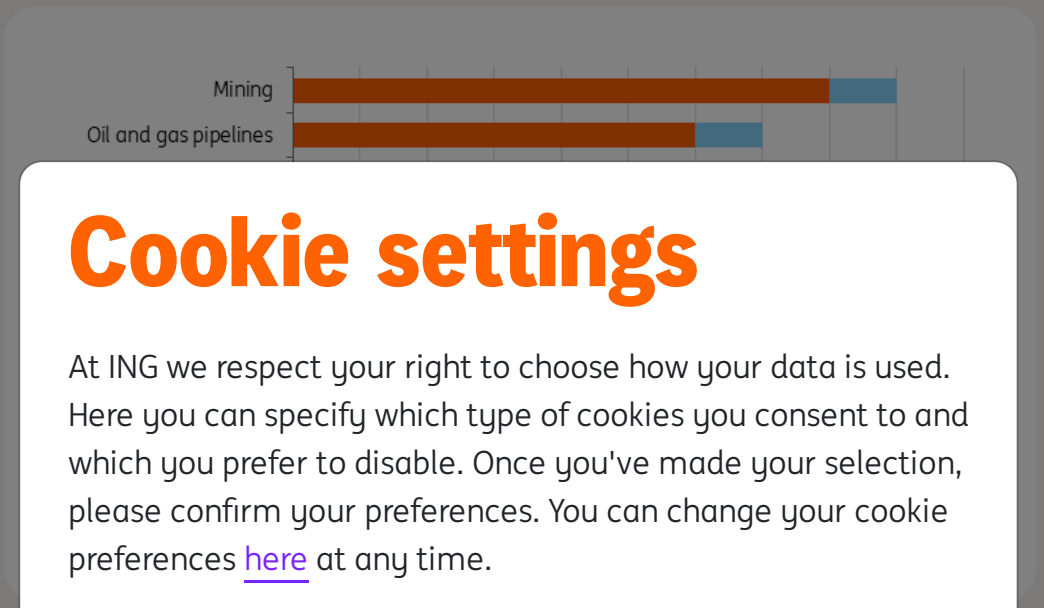
However, the greatest potential for policy action may lie not in specific technologies, but in permitting reform.

Today, many energy projects can spend over five years navigating the federal permitting process. Around $240bn to $280bn of infrastructure investment across the eight sectors below enters the

permitting pipeline each year. Lengthy delays can therefore leave substantial capital tied up and project benefits unrealised.

Average federal permitting time by sector in the US

Years; orange represents the lower end of the range, while blue represents the higher end



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- Making it easier to permit power transmission lines

Despite debate over its environmental impact, there is broad agreement that the BAAJA would meaningfully improve the permitting process. The key question is whether it can become law under the current Congress. The Senate is expected to vote on 9 November, after which the bill would still need approval from the House and President Trump. Democrats may want to delay the bill and seek changes once they regain control of Congress next year, but doing so could increase the risk of a presidential veto. This creates an incentive to reach a deal sooner rather than later.

Even if the BAAJA does not pass under the current Congress, permitting reform is likely to remain a bipartisan theme. The growing need to expand power supply and infrastructure more quickly will keep pressure on future Congresses to streamline permitting.

Business implications

For energy companies – both renewables and fossil fuels – the BAAJA could significantly shorten permitting timelines. If enacted, it would give project developers greater certainty,

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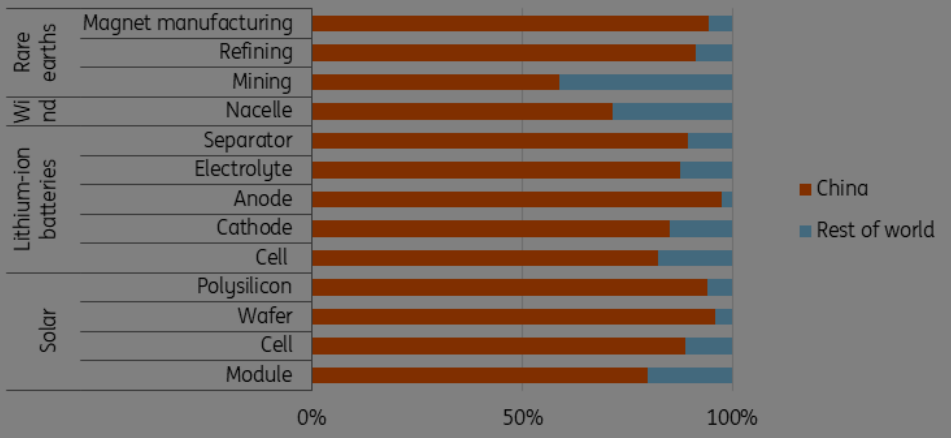
supply chains could outweigh those costs.

Global supply chain capacity distribution across various sectors



Source: ING Research, BloombergNEF, International Energy Agency

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opposition from Congress. Congress could also authorise additional funding to strengthen rare earth supply chains.

Furthermore, a Democratic-controlled Congress could push to extend clean manufacturing tax credits as part of broader negotiations with President Trump. Given the administration's focus on countering China and expanding US manufacturing, an extension could emerge as a compromise in a broader legislative package under an optimistic scenario. All these efforts would also extend into future administrations.

Business implications

For US companies:

Clean energy companies and other industries that rely on rare earths, including semiconductors, AI, defence, and electronics, should have enough policy certainty to build long-term supplier relationships outside China. In the near term, however, diversification could raise supply chain costs as alternative sources may be more expensive. Solar could face particular cost pressures, as some tariffs on supply

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The opinion polls called it right with sweeping victories for the Democrats in the midterm elections. The key question is whether the president will look to secure deals or whether gridlock on the domestic front will force him to look outwards

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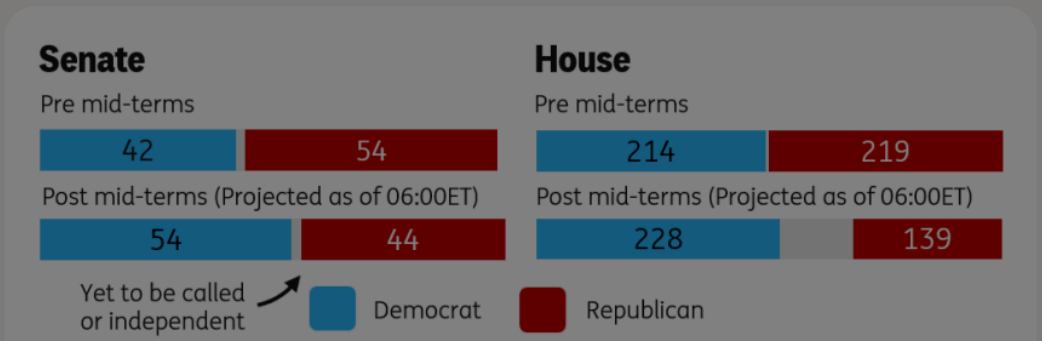
The results are in and it's a big Democratic victory

With most votes counted, it's clear the Democrats have secured a decisive victory in the US midterms, claiming majorities in both the Senate and House of Representatives. Though this outcome had become the consensus in recent weeks, the scale of the Democratic victory in the Senate in particular is noteworthy. Wins in Texas, but also in less expected states like South Carolina, Kansas and Iowa,

symbolise a major shift in American political opinion since the last election in 2024.

US midterm results (as of 06:00 ET)



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Source: New York Times, ING

Dealmaker-in-Chief or Mr Veto?

The Republican majorities in the House and Senate in the first half of Trump's presidential term allowed him to sign the One Big Beautiful Bill Act into law in July 2025. Other legislation included the Laken Riley Act, which tightened immigration and border policy, the GENIUS Act, which created a regulatory structure for stablecoins, the HALT Fentanyl Act on drugs and the TAKE IT DOWN Act on online regulation.

The obvious outcome from the result on Tuesday is that a Democrat-controlled Congress will stifle President Trump's domestic agenda in his final two years in power. A bill has to be approved by both the House and the Senate before being passed on to the president to sign or veto. With the Democrats having control of the legislative agenda in the House and Senate, the president has already warned that he will likely become "Mr Veto". The only way to overcome that would be for the Democrats to secure a two-thirds supermajority in both houses. That isn't the case after last night's results.

The consequence is that spending and tax proposals, as with most d
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October's shutdown, which depressed GDP growth in 4Q 2025 by a full percentage point. The Federal Reserve risks "flying blind" again with no government economic statistics being collated or released.

What the Democrats can seek to achieve

Key sectors of corporate America will be nervous that Democratic control of important oversight committees could bring greater scrutiny. More congressional hearings involving AI and technology business leaders would be a likely outcome, while a strong performance at the ballot box may embolden local Democratic

leaders to try to stall unpopular data centre construction in their constituencies. Fossil fuel producers may face similar challenges.

Democrats will likely feel even more confident about pushing back against President Trump's policies on Iran, support of Israel and any escalation of tariffs. They may apply more pressure on the president to sound tougher towards Russia and to provide support to Ukraine, but the final call will remain with the president.

Investigations into President Trump, his family and members of his administration may also be stepped up as Democrats exercise their greater powers. Inquiries into finances and business dealings could re
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What will the president do?

A key question is whether a constrained President Trump, entering the final phase of his tenure, becomes more willing to accept political or market disruption in pursuit of his objectives.

If there is little sense of any compromise, the ensuing gridlock in Congress would leave the president to focus on areas where he can exercise executive power: 1) foreign policy and diplomacy, including trade policy, 2) national security and defence, 3) law enforcement and regulatory policy, 4) personnel appointments (subject to Senate approval), and 5) administration and management policy.

This suggests Iran, Russia/Ukraine and tariffs/trade policy are likely to be the focus for the president. Tariff policy could increasingly be used to incentivise foreign partners to align with US foreign policy objectives, for example by pressuring NATO members to increase defence spending.

More fundamentally, heavy defeats in the House and Senate will be interpreted as a referendum on President Trump's policies and potentially prompt figures within the Republican Party to take the view that it is time to open the debate on its future direction. With Trump's influence set to fade, leading lights within the party, most notably JD Vance and Marco Rubio, may attempt to shore up

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marginal, given the risk that tariffs also push inflation higher. Overall, we retain a bias towards the 10-year yield heading towards 5.25%.

The dollar is softer on the outcome, though it has recovered from its lows seen in early Asia when a sharp fall in Nasdaq futures was warning of a larger re-pricing of the tech story. Nasdaq futures have since retraced the majority of those losses. Limiting a larger dollar correction on this news is probably a still-resilient US economy and at least one more rate hike from the Federal Reserve. The dollar could see a little more weakness into 2027, however, if an

emboldened Democratic Party takes greater issue with Republican policy, including deregulation and the AI build-out. And the potential for a prolonged government shutdown in mid-2027 adds to the case for a weaker dollar next summer.

What it means for Europe and China

With the outcome of the vote limiting President Trump's options at home, he is likely to focus more heavily on foreign and trade policy. The result could be greater volatility and uncertainty for the global economy.

This will clearly affect Europe. A forced deal between Russia and U
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the president's patience and slow the pace of defence spending increases, particularly given their own fiscal constraints. Alternatively, and less likely, a stifled but less angry Trump administration could try to bring the wars in Iran and Ukraine to an end. Constrained by Congress and the Supreme Court on trade, it could ultimately, intentionally or otherwise, end up indirectly supporting the European economy.

China's main response will be to wait and see, as it will react to actual policy changes rather than the shifts within Congress. The

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main potential trigger points would be Taiwan arms sales, tariffs and other trade/investment restrictions.

Personal ties between the two leaders appear good, but with President Trump's policy focus being channelled towards foreign and trade policy, China could end up in the crosshairs again. The trade truce is set to expire in January, and it seems like both sides are not interested in going back to the mutually destructive peak tariff scenario we had in 2025, but it cannot be ruled out. As with Europe, if Trump appears weakened by the outcome of the midterms, China could sense that it is time to start looking beyond 2028, triggering a revaluation of its long-term US strategy.

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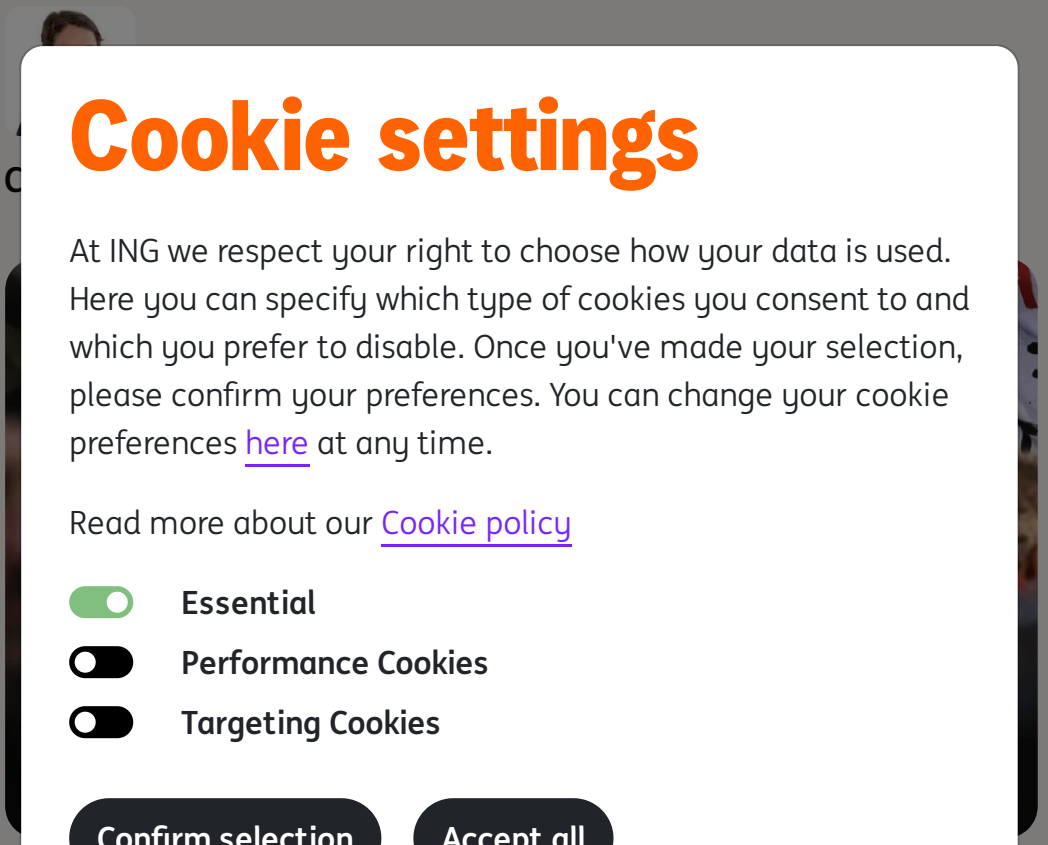
Thursday's nationwide mobilisation over wages and purchasing power will add pressure on a French government already struggling with weak growth, a fragile labour market and an increasingly unmanageable budget. Its options for responding to social discontent are narrowing as higher borrowing costs further weaken the outlook for public debt



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Pressure mounts for action on purchasing power

What began as a student-led protest has grown into a broader social movement, adding to the government's challenges as it struggles to get its 2027 budget through parliament.

The mobilisation continued during the school holidays, with between 320,000 and 500,000 people taking to the streets last Saturday, fewer than in previous weeks but hardly the pause the

government had hoped for. The next test will come on Thursday, 5 November, when all the main trade unions will mobilise over wages and purchasing power, with students and public sector workers expected to join the protests.

Under pressure, the government is considering raising the minimum wage by more than the automatic increase of around 1% due in January, possibly adding another 0.5 to 0.6 percentage points. This would be the first discretionary increase since 2012. But employers are strongly opposed, as they are already facing higher labour costs through planned cuts to social contribution exemptions. A further rise in the minimum wage could therefore e
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Budget talks are producing a larger deficit, not a solution

These pressures are making an already difficult budget equation even harder to solve. After 10 full days of debate and more than 2,300 amendments examined, France's 2027 budget discussions appear to be going nowhere, except towards a larger deficit than the government intended. While the government aims to reduce the deficit to 5% of GDP in 2027, after an expected 5.4% in 2026, the measures approved so far have pushed it substantially further off course. According to the Finance Ministry, the amendments adopted during the first reading have already worsened the

projected deficit by €23.9bn (total deficit in 2026 will be around €165bn).

The vote on the revenue part has been postponed again, as MPs continue to adopt measures pointing in all directions. Yet the exercise increasingly makes little sense: the fragmented National Assembly is unlikely to approve the budget, leaving the government with two possible escape routes. It could use Article 49.3 to pass the bill without a vote, but would first need to negotiate with parts of the opposition to ensure that a subsequent no-confidence motion fails. For now, there are few signs of such talks. If the motion passed, the government would fall and the b
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hovering close to recession.

The details of the third-quarter figure were also weak: investment fell by 0.6% and net trade subtracted 0.6 percentage points from growth as exports dropped sharply, while inventories provided a temporary offset. The only real positive surprise came from household consumption, which rose by 0.4%. But there is little reason to expect this momentum to last. Consumer confidence fell by five points to 80 in October, its lowest level since June 2013 and well below its long-term average of 100. Households' assessment of whether this is a good time to make major purchases dropped

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sharply, while fears of unemployment increased. Most strikingly, their assessment of living standards fell to its lowest level since the survey began in October 1972. This points to much weaker consumption in the coming months.

The outlook for investment is equally weak. Financing conditions are deteriorating particularly sharply in France: according to the latest ECB Bank Lending Survey, a net 27% of French banks tightened credit standards for businesses in the third quarter, compared with around 8% in Germany, no tightening in Spain and an easing in Italy. Together with weak demand, higher interest rates and uncertainty over taxes and public spending, this is likely t

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uncomfortable. The government had expected public debt to reach 121.7% of GDP in 2027, already a level at which a 5% deficit would be insufficient to stabilise the debt ratio. With growth now likely to be weaker and the deficit higher than assumed in the budget, debt will probably rise even further, and there is little prospect of stabilisation anytime soon.

The sharp rise in borrowing costs only makes the arithmetic worse. The French 10-year yield is currently around 4.9%, more than 155bp above its German equivalent, compared with a spread of around 70bp at the end of 2025. Admittedly, the increase in market

yields feeds only gradually into the effective cost of the debt as existing bonds mature: the implicit interest rate on French public debt is still around 2.2% in 2026. But this also means that a substantial part of the rise in interest costs has yet to come through. Fitch estimates that France would need to reduce its primary deficit from around 2.9% of GDP this year to just 0.4% to stabilise the debt ratio. The adjustment required would become considerably larger if the effective interest rate on the debt gradually converged towards current market yields.

And the 2027 presidential election is unlikely to provide an easy reset. A new president could again find her or himself without a

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simultaneously easing the pressure on the public finances, the government has very limited room to offer measures large enough to make a meaningful difference without making an already worrying fiscal trajectory even worse.

Strikes | Public finances | GDP | France | Eurozone | Deficit

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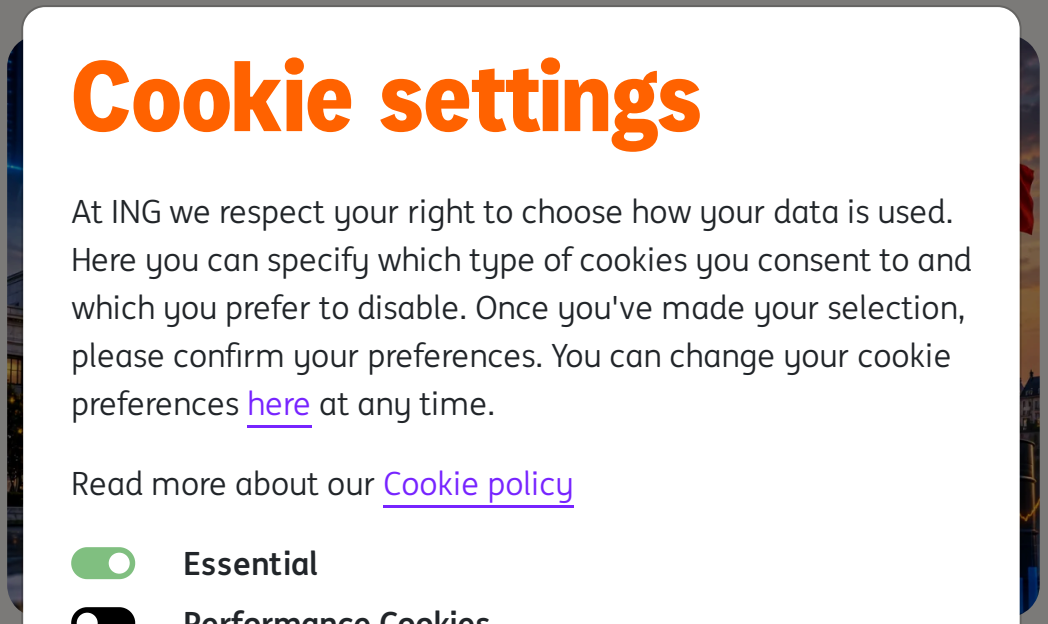
Join ING's economists on 10 November as they share their biggest calls for 2027, plus the risks and surprises that could knock the global economy off course. Sign up here

Carsten Brzeski, James Knightley, James Smith and Rebecca Byrne



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crashing down, taking business investment with it? Can Europe's surprising economic resilience continue, or will dramatic elections, political brinkmanship and rising bond yields herald a return to stagnation?

Join ING's economists on Tuesday 10 November as we launch our **2027 Economic Outlook**. We'll take you through our biggest calls for the year ahead, and the unexpected twists that could knock the global economy off course. Sign up here.

You'll learn:

- Whether the US growth story can keep defying expectations, powered by booming AI investment and resilient consumer spending
- How higher energy prices and political upheaval could reshape the outlook for Europe's major economies
- Where inflation is heading and whether we'll see second-round effects from the mounting energy crisis
- What we expect from the major central banks, including the Federal Reserve, European Central Bank and Bank of England

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Economic outlook

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Is COP still worth following? We think so. What matters for businesses is whether this year's COP31 can improve the business case for action. Here are four areas to watch

Coco Zhang and Gerben Hieminga

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energy demand... they have all made it harder for governments to turn climate commitments into action.

That raises an important question for businesses: Is the Conference of the Parties (COP) still worth following?

Our answer is yes.

Businesses do not just invest in climate targets; they invest in viable projects and operations. But many of them still face economic and practical barriers. Grid constraints and high electricity costs can slow electrification. Greener industrial products can struggle to

attract buyers willing to pay a premium. And climate adaptation plans do not always translate into investable projects.

Businesses cannot solve these challenges alone. In a 2025 UN survey of more than 2,000 CEOs across 128 countries, 92% said strong global governance and coordinated policy are “critical” or “important” to implementing their sustainability agendas.

That is why COP is still relevant. It can help align policy priorities, improving investment conditions, and connecting businesses with the right resources. At COP31, four areas will be particularly important for businesses to watch.

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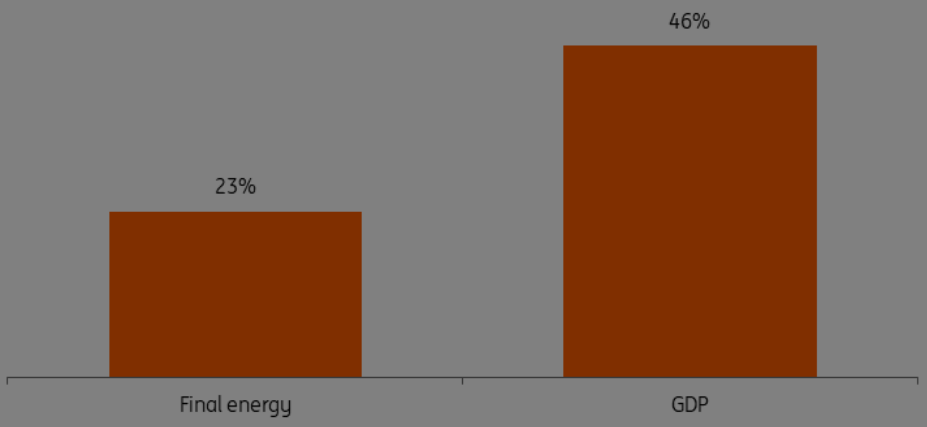
Global share of electricity in final energy and GDP, 2025, in %



Source: ING Research, International Energy Agency

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into direct technical assistance and ready-to-deploy models

- Set country- or sector-level targets and pathways to encourage industry alignment and commitment
- Improve access to finance by expanding dedicated financing for developing countries, while lowering upfront costs in Europe
- Improve the economics. Coordinate energy pricing reforms to make electrification more competitive with fossil fuel combustion alternatives, including by reducing taxes and grid fees that raise electricity prices
- Strengthen infrastructure by encouraging governments to reduce permitting barriers (e.g. Europe and the US), advance

regulatory support for power demand flexibility, and expand cross-border grids where needed (e.g. Southeast Asia)

If COP31 delivers meaningful action in these areas, the implications for businesses could be significant. Stronger policy could accelerate near-term grid connections and enhance long-term investment confidence. Meanwhile, companies may need to work more closely with utilities and regulators to secure the power they need.

Green industrialisation remains critical

But electrification is only part of the story. Industry is another major source of process emissions, with sectors such as steel

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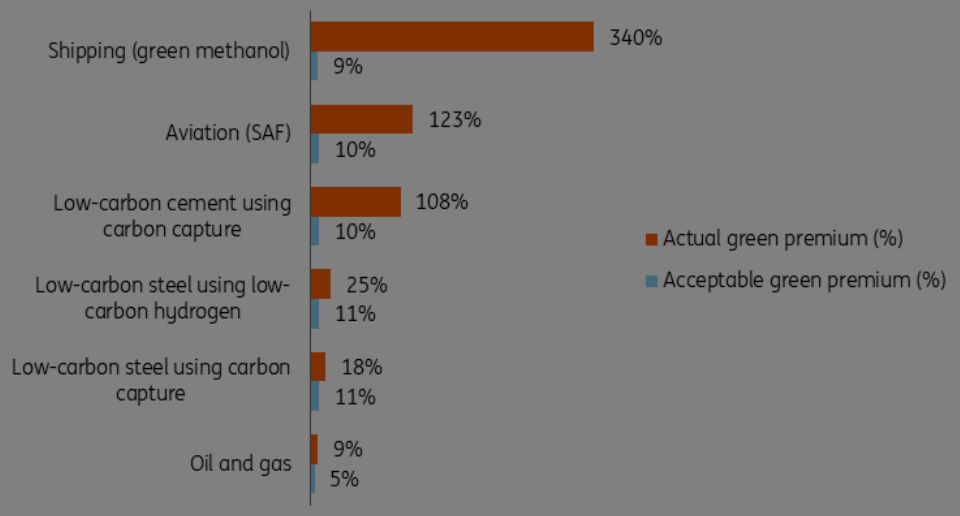
cleaner industrial products remains limited. And the necessary infrastructure for many is still underdeveloped.

Hard-to-abate sectors' green premium is way higher than what companies are willing to pay

Difference in cost, low-carbon versus conventional products, in %



Source: World Economic Forum, ING Research

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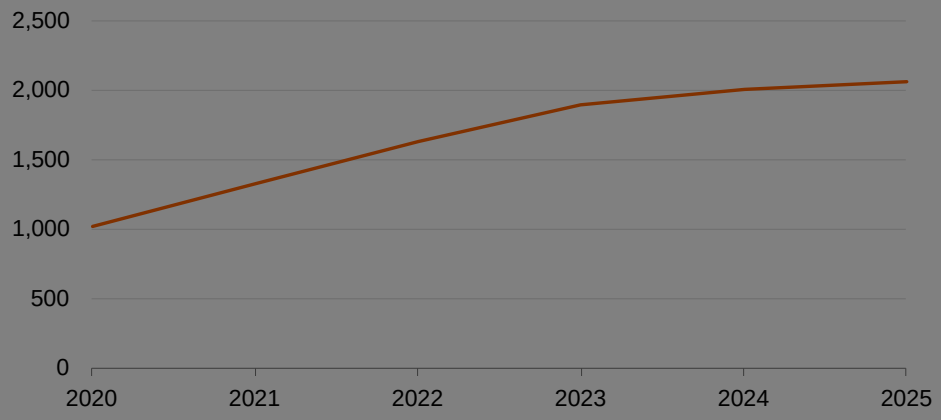
Global climate finance continues to grow

Finance levels in $bn



Source: Climate Policy Initiative, ING Research

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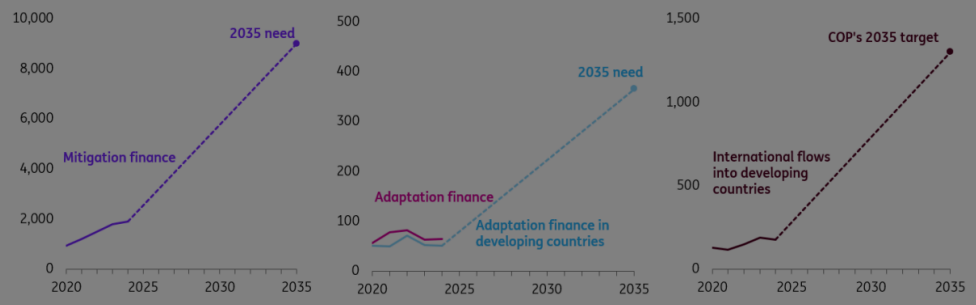
Finance levels in $bn



Source: ING Research, Climate Policy Initiative, UN, UNEP, Natural Resources Defense Council

More climate products and solutions are emerging in the latter two s… …e it … …e a… h… …ll l… f… s… i… …s.

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B… b… p… h… …y affecting supply chains across sectors. In aggregate, physical climate risks could cost companies in the S&P Global 1200 index $1.2tn annually by 2050.

One barrier to corporate investment in climate adaptation is that it is still seen primarily as a way to avoid losses. But adaptation can also create business value. Investments in resilient assets, cooling systems, supplier diversification and climate-resilient materials can improve reliability, competitiveness and long-term growth. Research from the World Resources Institute suggests that every $1 invested in adaptation can generate up to $10 in benefits. That return could be even higher for highly climate-exposed sectors. For

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example, the World Economic Forum estimates returns of $19–$43 per dollar invested in the food and beverage sector.

COP can help turn adaptation priorities into investable projects. Since the Paris Agreement, countries have developed National Adaptation Plans (NAPs), but many remain high-level and lack specific, actionable projects. Recent COP efforts have sought to change this by encouraging governments to translate their NAPs into portfolios of investable adaptation projects.

But identifying projects does not guarantee financing. This is where COP31 could make a difference. Its proposed Climate

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coordination and strong policy support. COP can bring governments and businesses together to provide such a framework, even amid geopolitical tensions and concerns over slowing progress. COP31 may not deliver a landmark global agreement, but practical advances in these four priorities could still have immediate relevance for businesses.

Sustainability | Corporates

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